STOCK TO STUDY: Copart, Inc. — Auto Industry Headwinds Benefit Auctioneer (p. 22)

December 2022 VOL. 72, NO. 4

www.betterinvesting.org

BETTERINVESTING™ MAGAZINE

Slow and Steady Still Wins

Why the Lesson of the Tortoise and the Hare Applies to Investing (p. 39)

Hoarding Can Be Good

Today's Economy Underscores An Emergency Fund's Value (p. 11)

Taking a Calculated Risk

Tempted by Cheap Stocks? Do Your Research Before Speculating (p. 36)

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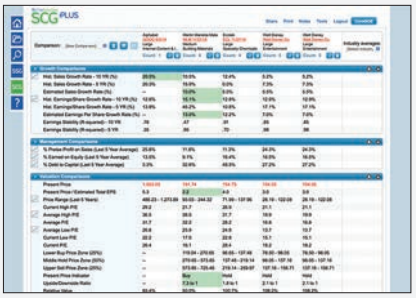

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OUR PRINCIPLES

- Invest a set amount regularly.
- Reinvest earnings, dividends and profits.
- Invest in quality growth stocks and equity mutual funds.
- Diversify your investments.

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Winning at a Steady Pace

Remember the old adage that slow and steady wins the race? In times like today, this may apply more than ever. Patiently buying stock worth owning instead of hopping around looking for the next get-rich-quick scheme is a likely way to be in the best spot for the future.

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Alchemy Investment Club

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Copart, Inc. **22**

When it comes to finding new uses for cars wrecked in crashes, stolen and recovered, or simply suffering from decrepitude, Copart is the industry leader in the U.S. Copart's vehicle supply was somewhat depleted during the pandemic when fewer people were driving.

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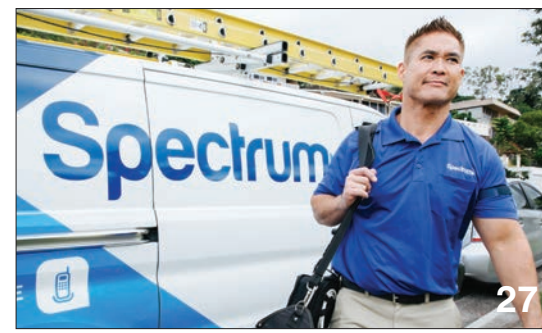
Charter Communications, Inc. **27**

Charter Communications, one of the nation's largest telecommunications providers, rebranded in 2013 by adopting the name Spectrum for its core services and products. The company is in the midst of a major push into mobile devices, which it sees as a huge growth driver.



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Stock to Study: Tractor Supply Company — A profit machine.

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BetterInvesting *Online*

BetterInvesting members have the opportunity to expand their learning through online classes. Below is a selection of videos from the Video Learning Library on the BetterInvesting website that provide excellent learning opportunities. Be sure to visit the Video Learning Library to access over 100 webinar recordings on a variety of topics at **www.betterinvesting.org/vll**. To see a list of upcoming live webinars, like TickerTalk and StockUp, please visit our Events page at **www.betterinvesting.org/webinars**.

TickerTalk

From the Nov. 17, 2022 Webinar
OnDemand Recording

Investing education in bite-size pieces is offered in every TickerTalk session to help you become a more confident, better investor. Interest rates and inflation and bears, oh my! Stocks don't exist in a vacuum. All companies are subject to economic realities that influence their fundamental performance. Join us at this TickerTalk for a balanced perspective to help you weather the stock market storm. As always, the panelists share a few stock ideas worthy of further study in **Five in Five**. This month's panelists are: Suzi Artzberger, director of Online Stock Tools Suite, Information Technology and Data, BetterInvesting; Ken Kavula, director, BetterInvesting's Mid-Michigan Chapter and Ann Cuneaz, senior manager of education, BetterInvesting.

Investment Club Workshop: The Complete Guide to Portfolio Management for Investment Clubs

From the Oct. 13, 2022 Webinar
OnDemand Recording

Successful investment clubs know that it takes more than simply buying stocks to provide superior returns. You need to carefully manage your club portfolio, including such key tasks as establishing objectives for adequate diversification (and then working towards them), selling stocks when fundamentals dictate and monitoring your returns over time. This special Investment Club Workshop webinar will be led by Doug Gerlach of ICLUBcentral and his myICLUB.com team. This webinar is essential viewing for all new and existing club members.

What's New in BetterInvesting's Online Tools

From the Aug. 18, 2022 Webinar
OnDemand Recording

This fast-paced class provides an overview of the most recent changes to the CoreSSG, SSGPlus, Stock Comparison Guide and Portfolio Tools. New features include: Historical Data and Forecast Audit, import shared studies directly into a portfolio and Display Projected Average Return (PAR) on the Portfolio Summary Report. If time allows, we will cover frequently asked questions received by our support staff and take questions from the audience regarding the operation of the tools. Join us to stay informed and learn how to get the most out of the Online Tools! Suzi Artzberger, BetterInvesting's director of online stock tools, technology and data, leads this tutorial.

StockUp: Use PERT to Perk Up Your Portfolio

From the June 16, 2022 Webinar
OnDemand Recording

To be a successful investor, you must watch the companies you own for early warning signals that problems are developing. The Portfolio Evaluation Review Technique (PERT) allows you to quickly assess the performance of all of your stocks and determine which ones need additional study. Join us for an overview of the PERT report and learn how to read and interpret the data presented in this helpful portfolio tool. Instructors: Suzi Artzberger, director of online stock tools, technology and data, BetterInvesting; and Ann Cuneaz, senior manager of education programs, BetterInvesting.

History Shows That What Goes Down Will Go Up Again

How to Get the Better of a Bear Market

Pundits will split hairs over definitions of bear markets and recessions, though anyone who has viewed their portfolio lately — or bought a gallon of milk — knows how thoroughly equities and the economy have gotten clobbered in 2022. The relevant question is how savvy investors should respond.

The first piece of advice is to stay the course. Long-term investors understand that markets periodically fall. History shows that equity markets always recover. A common and instinctive bear market reaction is to sell, quickly and thoroughly — which most often turns out to be a mistake since being out of the market means missing the relatively few number of days when the market surges spectacularly higher.

One study by Putnam Investments showed that $10,000 invested in the S&P 500 at the end of 2006 grew to $45,682 by the end of 2021 — an annualized 10.66% return, in line with long-term market averages. But if the same investor missed the 10 best days during that15-year period, the sum would be $20,929 — a 5.05% annualized return.

An important exception to the preceding applies to those who have not maintained an emergency fund of cash. Everyone should make sure to keep six to 12 months of liquid reserves available for sudden loss of work or a medical or family emergency.

Continuing to put money into stocks as share prices are falling may seem counterintuitive. Search for larger reputable companies with solid balance sheets — based on your analysis — with a bias toward those that have weathered decades of economic ups and downs; don't be overly concerned if their shares are knocked down: They'll likely recover. Let dollar-cost averaging be your friend in a falling market. Instead of jumping straight in, budget a set amount of money per month or week and ease into a position. If prices fall further, you'll feel very smart.

With the likelihood of an economic recession increasing, consider industry sectors and companies that tend to do relatively better during periods of contraction. Groceries, fuel, health care, utilities are sectors that consumers can't totally abandon. Companies that have paid dividends over long periods of time may be a good choice for investors who wish to be paid even if the price of their shares is stagnant.

Among the tips worth considering is tax-loss harvesting of battered stocks. If your portfolio features some of these, consider selling them this month to realize a capital loss and buy them back in 31 days or more to avoid the Internal Revenue Service wash rule meant to discourage year-end, tax-prompted selling.

Above all, keep in mind that markets eventually turn, the average bear market lasting about a year. As the market pros keep reminding us, serious gains are made by smart investors in down markets. There's no reason you shouldn't belong to that group.

Don't Miss Out on BetterInvesting Weekly!

Have you subscribed to the member-exclusive BetterInvesting Weekly e-newsletter? It's free for all members and highlights many of the features included in your membership. Different stock ideas are presented weekly, including First Cut Stock Reports, the Most Active Stock List and stock screens from the Online Tools. You will find links to register for events, read investor education articles, view archived webinars in the Video Learning Library and receive tips on using the Stock Selection Guide. Sign up at **www.betterinvesting.org/my-account.**

NATIONAL ASSOCIATION OF INVESTORS
BETTERINVESTING™
Educating Investors Since 1951

Vol. 72, No. 4

Official Publication of the
National Association of Investors Corporation
US ISSN 0006-016X
Phone: 248/583-NAIC (6242)
BetterInvesting website: www.betterinvesting.org
Editorial email: bi@betterinvesting.org

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BetterInvesting Magazine is published 10 times per year (January/February and June/July issues are combined) by NAIC's BetterInvesting, 570 Kirts Blvd., Suite 237, Troy, MI 48084.

Subscriptions: Individual subscriptions are $35 a year or less; go to the store at the BetterInvesting website: https://www.betterinvesting.org/store/magazine

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Postmaster: Send change of address notices to National Association of Investors Corporation, 570 Kirts Blvd., Suite 237, Troy, MI 48084.

Canada Subscriptions: Canada Post Agreement Number 1736450. Send change of address info. and blocks of undelivered copies to P.O. Box 1051, Fort Erie, ON L2A 6C7.

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Ken Zendel

Keep Faith in Investing, While Donating Some of Your Profits and Talents to Charity

Share the BetterInvesting Way This Holiday Season

by Ken Zendel, CEO, NAIC/BetterInvesting

With the end of the year in sight, the festivities of the season emerge. Spending time with family and friends, savoring delicious meals, gift giving, helping those less fortunate and much more. Plus let's not forget: pies and cookies!

This also means the time is upon us to conduct our personal financial year-end review.

During your review, you may ask yourself some tough questions — perhaps some which our members were asking when one of NAIC's founders, Thomas O'Hara and/or Editor Don Danko, wrote the following in a December 1987 editorial, "Many NAIC members, particularly the two-thirds who have joined in recent years, are likely to have had their confidence shattered in the ownership of stocks because of the unprecedented collapse in stock prices that took place this Fall. Two questions are natural and good to ask. Should we sell our stocks? Should we abandon our investment club? If we want to build wealth in the future, the answer to both questions is no." In 2022, ask any current member who was a member in 1987 if they wished they would have answered yes and you'll receive a resounding no.

Better questions to ask during your year-end review: Are you still well diversified or do you have too many eggs in one basket? Are you comfortable with the current level of risk in your portfolio while still maximizing performance? Should you consider tax-loss harvesting? (*For more on this topic, visit the investor education article section:* ***www.betterinvesting.org/learn-about-investing/investor-education/taxes.)***

Or conduct a treasure hunt, as NAIC founder George A. Nicholson, Jr. suggested in December 1988, "The treasure hunt consists of finding stocks that are being sold for tax losses, and which should provide a good supply of investment potential for those wanting Christmas bargains."

As you review your portfolio and answer the above questions, you may decide to trim a holding. If you realize a taxable profit on the sale of those shares, depending on your personal situation, you may owe capital gains tax of 15%-20%. Alternatively, if you gift the appreciated shares directly to a charity of your choice, there are no capital gains taxes to pay. Some of our members have elected to do just this recently. Various nonprofit organizations, including NAIC/BetterInvesting, outline how to donate shares of stock on their respective website. You will likely be eligible to deduct the full value of the donated stocks from your income taxes, up to the maximum amount allowed by the IRS. (*Note: I am not a tax expert so please confirm with your tax adviser.*)

We are proud of our Charity Navigator rating of 100 out of 100. With some gifts previously received by NAIC/BetterInvesting, the organization has been able to further our mission. For example, BetterInvesting supported CLIMB USA's objective to "connect underserved youth and families to financial education programs" this past year.

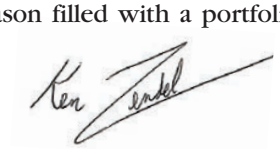
As a nonprofit organization, our mission is to educate individual investors and investment clubs to become successful lifelong investors. Through your continued help and support, we can all be proud of our efforts to fulfill this mission through the unbiased investment education provided to you as a member, as well as to those less fortunate who lack knowledge, exposure or opportunity.

There are additional ways for you to support the National Association of Investors' mission. At **www.betterinvesting.org/donate**, you can learn how to name NAIC/BetterInvesting in your will, name NAIC/BetterInvesting as an insurance beneficiary or gift mutual fund shares to the organization. The BetterInvesting website is also equipped to accept credit card contributions, in honor or memory of a special person.

Please consider a gift this holiday season to support important financial literacy and investment education initiatives. You can help change lives.

Alternatively, you can embody the spirit of the season through the gift of knowledge and time. A fulfilling way to help is by volunteering. Join in the season of giving and helping others by becoming a volunteer today — just contact your local chapter (learn more on your chapter's Volunteering page on the website). Local chapters always can use additional help, whether with event planning, chapter administration or educating. In addition to helping others, volunteering also gives you a chance to learn new skills, interact with members of your community and feel a sense of pride by contributing to a cause that is meaningful.

Thank you for your continued support of NAIC/BetterInvesting. Your membership allows the organization to further the mission and continue to present outstanding investment education. Wishing you a happy, healthy, peaceful holiday season filled with a portfolio on the rise.



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Investor Advisory Service

Performance Parameter	At 9/30/2022	5-Year Change Annualized
BetterInvesting 100 Index (BIXX)	437.32	6.70%
BetterInvesting 100 Index (BIXR — Total Return)	617.99	8.16
S&P 500 Equal-Weight Index (Total Return)	9,845.35	8.02
Vanguard Total Stock Market (CRSP U.S. Total Market)	87.30	8.35
Dow Jones Industrial Average (DJIA)	28,725.51	7.42
S&P MidCap 400 Index	2,203.53	5.82
Russell 2000 (Small-Cap Index)	1,664.72	3.58
Nasdaq Composite	10,575.62	11.25
MSCI EAFE (Europe, Australasia, Far East) Index	1,661.48	3.39
MSCI Emerging Markets Index	875.78	4.14
Value Line Arithmetic Composite	7,716.12	5.75
Consumer Price Index (July)	296.80	8.2

Sources: Yahoo Finance, Value Line, Bureau of Labor Statistics, MSCI, Standard & Poor's, Solactive, Google, FTSE Russell

Most Active List

Here are the companies attracting the interest of the BetterInvesting community, according to about 2,030 transactions by users of myICLUB club accounting for the trailing eight weeks ended Sept. 7.

Company (Ticker)	Buys-Sells
1. Alphabet (GOOG)	188-26
2. Amazon (AMZN)	177-23
3. Apple (AAPL)	94-45
4. Microsoft (MSFT)	105-27
5. Tesla (TSLA)	104-12
6. Nvidia (NVDA)	67-41
7. Adv. Micro Devices (AMD)	60-28
8. Intel (INTC)	66-19
9. Visa (V)	58-13
10. Disney (D)	47-22
11. Ford (F)	55-11
12. Costco (Cost)	47-9

This list is presented as a source of stock study ideas. No investment recommendation is intended.

Our thanks to ICLUBcentral for this information.

We maintain a Most Active List at BetterInvesting website's homepage, and a monthly list is published at: **www.myiclub.com**

Most Active List: Bubbling Under

Nos. 13-40 With Buy-Sell Ratio Over 2:1
Transactions for trailing eight weeks ended Sept. 7.

Company	Ticker	Buys	Sells	Total
Berkshire Hathaway	BRK.B	43	3	46
Pfizer	PFE	32	8	40
Qualcomm	QCOM	35	4	39
Generac Holdings	GNRC	34	2	36
Devon Energy	DVN	30	5	35
Starbucks	SBUX	30	5	35
Home Depot	HD	25	10	35
Raytheon Tech.	RTX	24	4	28
JPMorgan Chase	JPM	21	7	28
Adobe	ADBE	20	7	27
CVS	CVS	21	4	25
Micron Technology	MU	17	8	25
Walmart	WMT	17	8	25
NextEra Energy	NEE	19	5	25
Exxon Mobil	XOM	16	8	24
Taiwan Semiconductor	TSM	18	4	22
Johnson & Johnson	JNJ	14	7	21
ChargePoint Holdings	CHPT	21	0	21
Skyworks Solutions	SWKS	14	4	21
Aflac	AFL	15	5	20
PepsiCo	PEP	13	5	18
FedEx	FDX	12	6	18
Procter & Gamble	PG	12	6	18
Dollar General	DG	17	0	17
Merck	MRK	17	0	17
Coca-Cola	KO	15	2	17
Nike	NKE	13	4	17
McDonald's	MCD	13	3	16

Source: myICLUB

Berkshire Hathaway B shares proved to be quite a popular choice among myICLUB accounting software for the eight weeks ending Sept. 7, with 43 purchasers of the stock and only three sellers. Aside from the celebrity and popularity of BRK.B's chairman and CEO, Warren Buffett, the company he leads can boast stellar performance. In the past year, with the S&P 500 off about 18%, BRK.B is down less than 2%. The legendary value investor's principles with regard to choosing companies to own and divest have stood the test of time with stock-pickers everywhere.

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Careful Planning and Strict Spending Produce Handy Rewards

4 Rules for Amassing Credit Card Points

by Jordan Chussler

We've all been warned of the dangers of credit cards and their inherently high APRs (annual percentage rates). But fewer cardholders than should take advantage of the benefits they're offered. Rather than airline miles and hotel stays, consumers should focus on generating cashback and points to help their household budgets.

My wife's Catholic and I'm Jewish. But we have plenty in common, including how we hardly ever use cash or debit cards. Between Christmas and Hanukkah, we buy a lot of presents every holiday season (something our toddler doesn't mind one bit). Each year, we manage to avoid tapping into our savings or bonuses. It takes careful planning, patience and — most importantly — a slew of credit card points.

> "Patience pays and nothing is more rewarding than redeeming a heap of points."

Conventional wisdom says we shouldn't spend money we don't have. The pitfalls are many, but the primary risk is running up debt coupled with outrageous APRs that can lead to financial ruin. Yet for those who're strict about their spending habits and diligent about paying off balances — something I do weekly and my wife does daily — the rewards are considerable.

Rule No. 1: Don't Carry a Balance

When accompanied by astronomical APRs, credit card debt can spiral out of control faster than consumers can pay down principle. The average credit card interest rate in America is now an astounding 19.86%. Failing to keep up with that debt jeopardizes both your credit score and monthly budget.

Your payment history is responsible for 35% of your credit score. So when making budget-approved purchases, paying them off as often as possible has its benefits. Bringing your balance back to zero each month (or multiple times each month) is the first step to safely maximizing your credit card points.

Rule No. 2: Focus on Bonus Category Spending

Most cards offer category-specific bonuses that can boost consumers' point totals. For example, the Discover it Cash Back Credit Card, which carries no annual fee, automatically provides 1% cash back on all purchases, which is just shy of the 1.5% average offered by most credit cards.

However, Discover divides the year into four bonus categories. For 2022, those were: (1) grocery stores and fitness centers, (2) gas stations and Target, (3) restaurants and PayPal purchases and (4) Amazon and digital wallets. When you use the Discover card at those locations during their corresponding quarters, the benefit increases to an enormous 5% cash back.

We all need to eat and fuel our vehicles, and most people do their online shopping via Amazon or an e-commerce site that accepts PayPal. By focusing on category-specific spending windows, you can routinely net 5% cash back on most of your purchases.

With food inflation up 13.5% this year, and the average American family of four spending $1,263.50 each month at the grocery store, that 5% cashback could net you $63 every month, or $504 in the eight months the Discover card offers the bonus for supermarkets or Target (which is also a grocer).

Energy inflation has also grabbed headlines this year, with gasoline up an incredible 25.6% year over year. The average American household spends $5,000 a year on gas, so that 5% cash back equates to $62.50 for the quarter featuring gas stations as a bonus category.

Rule No. 3: Patience Pays

Whenever I go to checkout on Amazon, bulging point totals associated with my cards show up when I go to pay. As tempting as it is, don't use points throughout the year! Set goals, target dates and accumulate.

Patience pays and nothing is more rewarding than redeeming a heap of points instead of increasing your credit card balance or conversely decreasing your checking balance.

Rule No. 4: Focus on 1 or 2 Cards

The average consumer carries four credit cards, making it difficult to manage their balances simultaneously. Having just one or two high-reward cards is sufficient and lowers the risk of runaway debt.

Find a card that doesn't carry an annual fee, which in some instances can run as high as $550. Many of the top-rated cards offering above-average cashback percentages, don't charge annual fees while some others include welcome bonuses.

Due Diligence

Investors May Have to Learn New Vocabulary as Fed Money Tightening Finally Slows

Making Sense of Economic Projections

by Thomas D. Saler

As a challenging year for investors draws to a close, it's become clear that the period ahead could be turbulent as well, at least until inflation falls by enough to allow the Federal Reserve to take its leaden foot off the monetary brake.

Exactly when that might happen will depend on a handful of arcane economic statistics, about which investors will be hearing plenty in coming months. Among the most pertinent of those numbers:

- **Terminal rate.** This is where the Federal funds rate — the base cost of credit in the United States — is projected to peak when the Fed concludes its monetary tightening cycle. Unfortunately, history offers little guidance on where that level might be; over the roughly dozen such cycles since the 1950s, peak short-term rates have ranged from 2.4% in June 2019 to 22% in December 1980 (*see Websites of Interest*).

For an approximation of where the terminal rate could end up in the current tightening cycle, check out the Federal Reserve's quarterly Summary of Economic Projections.

As of the September-end quarter, the Fed's rate-setting committee projected that benchmark rates would top out next year at between 4.5% and 5%, and then decline only gradually over the following 12 months.

- **Neutral rate of interest.** Also known as r*, the neutral price of money is the rate that neither stimulates nor restrains economic growth. The calculation is based on economic circumstances that can vary widely over time; so widely, in fact, that the neutral rate has been called "an invisible moving target."

The unusual configuration of the post-pandemic economy — labor and product market shortages combined with household balance sheets able to sustain consumer spending despite higher prices — might argue for a neutral rate of at least 5% and possibly more if it turns out that the only way to squash inflation is to slow the economy to well under its potential by pushing unemployment sharply higher. Clouding the issue is the fact that the economy already is operating below potential — a condition known as an output gap — despite the robust labor market.

- **Natural rate of unemployment.** Both the terminal interest rate and the neutral rate of interest could hinge on this number, which measures the level of joblessness consistent with stable consumer prices. For most of 2022, the unemployment rate in the U.S. hovered at a 50-year low at around 3.6%, even as the Fed tightened monetary policy and economic growth decelerated. Many economists think unemployment under 4% is unnaturally low and inflationary, the result of massive pandemic-related stimulus.

> "Keep in mind, however, that economics isn't called the dismal science for no good reason."

A May 2022 analysis by the Federal Reserve Bank of San Francisco concluded that the natural rate of unemployment could be closer to 5%, or more than a percentage point above recent levels.

The Fed's latest projections for interest rates and economic growth paint a mostly gloomy picture, and still might be too optimistic regarding inflation and unemployment. Keep in mind, however, that economics isn't called the dismal science for no good reason. As that famous non-economist Yogi Berra once observed, "forecasts are difficult, especially about the future."

Keep calm and stay the course.

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Book Value

What Does Your Own Rich Life Look Like?

Journaling Your Way to Wealth

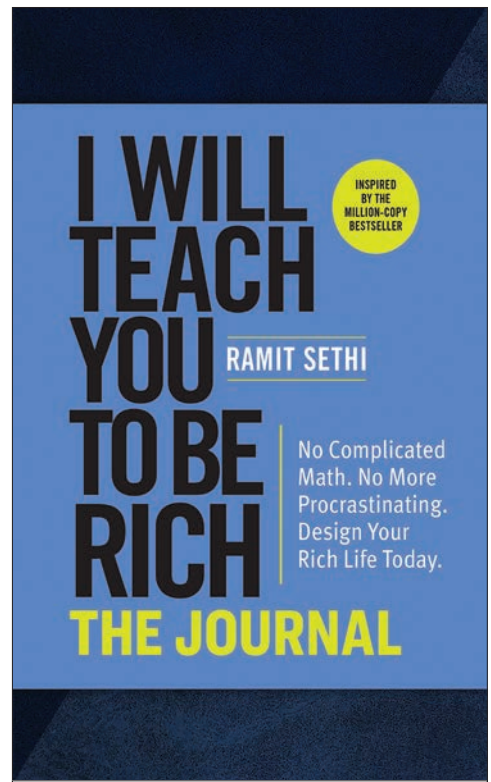
by Angele McQuade

For the first column of each new year, I like to bring you a book that invites an opportunity to reflect on your finances in a different way, then stretch and grow in profitable new directions. The book I've chosen for you for 2023 — "I Will Teach You to Be Rich: The Journal" — offers both and it's so good I've decided not to wait until January to share it.

You may remember my glowing review of author Ramit Sethi's "I Will Teach You to Be Rich" in our April 2020 issue; it's now one of the few personal finance books I always recommend to beginners (and others). Sethi's podcast of the same name, where he interviews couples about the financial issues and behaviors most affecting their relationships, also tops my list of favorites.

One of the things Sethi challenges his podcast guests to focus on is their personal version of a Rich Life. That's the same process this journal inspired readers to follow.

"Using my exercises and prompts," Sethi promises us, "you'll create a beautiful vision of your Rich Life — your ideal life in which your money, relationships, and leisure time work together beautifully."



"I Will Teach You to Be Rich: The Journal," *Ramit Sethi, Workman Publishing (2022), paperback ($18.95) and ebook, 191 pages.*

What I liked: how physically pleasing this journal is. The paper is high-quality and the pages well-designed, making it a joy to spend time filling each section with your thoughts, observations and dreams.

What I loved: the focus on using the journal as a way to get excited about money and all the things we might someday do with it, both for ourselves and the people or issues we care about most. Whether that's something as big as trips you'd like to take or as small as how you'd like to feel when you wake up each morning, the process of working through this journal will open your mind to specific steps you can take next to turn your biggest dreams into your everyday reality.

What makes the "I Will Teach" journal worth buying: the depth of the questions and the actions that might be sparked by your answers. "When was the last time you intentionally designed any aspect of your life," the author asks, then presents hundreds of pages created to help each of us do exactly that.

Spend some time with the "I Will Teach" journal if: it's hard for you to even daydream about what your own Rich Life might include, or if you need help narrowing your many possibilities to the ones that delight you most. When you look back in later years on the one thing that pushed you fastest toward a happier — and financially healthier — future, chances are very strong this journal could be it.

Thanks to the generosity of the publisher, I have one copy of this journal to send to a lucky *BetterInvesting Magazine* reader (U.S. only due to shipping costs).

Email **angelemcquadeauthor@gmail.com** by March 31, 2023, to be entered into a random drawing from all entries received. The winner will be notified by email on April 1.

Websites of Interest

Find more online: IWT.com
Podcast: I Will Teach You to Be Rich with Ramit Sethi
Twitter: @ramit
Facebook: facebook.com/IWT
Instagram: @ramit
YouTube: www.youtube.com/user/ramitsethi

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Angele McQuade has been BetterInvesting's Book Value columnist for 23 years. She's the author of three books, including "Investment Clubs for Dummies" and BI's upcoming new youth investing handbook.

Angele lives in Maryland, where she also writes children's picture books and novels.

Have a book to recommend?
Email: angelemcquadeauthor@gmail.com

With Chatter About a Recession Growing Louder, Hoarding Cash Makes Sense

Why You Need an Emergency Fund Now

by Matt Mondoux, CFA®, CFP®, CMT®

It's the fourth quarter of 2022 and the recession calls from all the pundits are ringing loudly. In wading through all of the bear market calls and recession prognostication, I came across an article that described a survey in which four out of 10 Americans felt financially unprepared for a recession.

The characteristics of a recession are straightforward: a contraction in economic activity with increasing unemployment. Recessions are the economic equivalent to a Northern winter. As with winter, there are steps that can be taken to better prepare yourself financially for a recession.

An "emergency fund" is critical to weathering poor economic times. An emergency fund is a pillar of financial planning and is meant to cover unforeseen and/or costly expenses (e.g., unemployment, a new roof, medical expenses). The concept is as simple as it sounds: liquid cash in a savings account that can cover necessary expenses for a predetermined amount of time. An emergency fund is more than just "savings," it is cash that is placed aside based on an estimated calculation of needs.

The needs are specific but can vary by individual. In general, needs-type expenses are those somewhat fixed in nature that are required to live. Examples include but are not limited to mortgage/rent, car payment, insurance, groceries, etc. It's important to have a somewhat detailed budget. Identify which expenses are "core" and which are more discretionary. Discretionary expenses could be eating at restaurants or even bigger ticket purchases such as televisions.

Identifying your personal emergency funds' needs is relatively simple: Sum up your core living expenses monthly and multiply that by a factor of the months you would like covered.

The general principle is having three to six months of your basic living expenses in cash as your emergency fund. For example: If you spend $2,000 per month on core expenses, and you would like to cover six months of expenses, your emergency fund should be $12,000. An additional note: The more debt you carry, the greater your emergency fund target needs to be.

Saving three to six months of expenses may seem like a tall task. However, when you know the amount your emergency fund should be, you can work backwards to come up with a monthly plan to begin saving. Set a time frame for when you would like to have the emergency stash funded. If you want to protect against a recession, it may be time to cut back on discretionary expenses to divert more to savings. You can supplement these monthly savings with larger lump-sums from a bonus or tax refund. Starting the plan is the important step and no amount is too modest.

When saving your fund — and once it's saved — it would be ideal to have your emergency fund partitioned from the rest of your savings and checking. As your emergency fund grows, so will the temptation to withdraw from it for a discretionary expense, like a vacation or tires for your car that you knew you would need.

If you're worried you may be compelled to take from the emergency fund, stash it away in a high yield savings account at a separate institution from your checking account. But avoid certificates of deposit in this case; liquidity is an important feature of an emergency fund and you don't want it locked up when you need it the most.

The debate will continue regarding the magnitude and duration of any upcoming recession. Recessions are an inevitable part of business cycles, just as winter is part of our seasons. Thinking like a squirrel and gathering acorns can go a long way in getting you through tougher times. This simple planning and saving can keep you from taking on additional debt and making the recovery a more difficult hole to get out of. B

Matt Mondoux, CFA®, CFP®, CMT®, sits on the investment committee and is an adviser at Blue Chip Partners, Inc., a privately owned, registered investment advisory firm based in Farmington Hills, Michigan.

Visit www.bluechippartners.com

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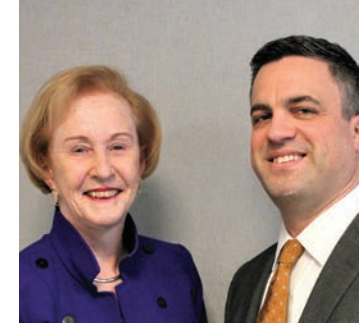
While Tax Laws Haven't Changed Much, You Can Still Reduce Your Burden

Year-End Planning Tips

by Alexandra Armstrong, CFP, CRPC, and Christopher Rivers, CFP, CRP



For better or worse, we saw very few changes to our tax laws in 2022. Thus, the majority of tax planning opportunities available to you as we end the year are tried-and-true strategies. Nevertheless, we thought it would be good to highlight some of the areas where you can meaningfully reduce your tax burden before year-end.

Understanding Marginal Tax Rates

At right you can see the tax schedule for 2022. If you're married filing a joint return, and you estimate your taxable income after all deductions is $80,000, your federal income tax will be $9,189 (**$2,055 + 12% of $59,450 = $7,134**). If your income goes over $83,550 (but is less than $178,150), any of this additional income will be taxed at 22%. So your goal would be to figure out how to stay in the 12% bracket.

Long- and Short-Term Capital Gains Tax Rates

Long-term capital gains on securities (those held for more than one year) are currently taxed at a lower rate of between 0% and 20%.

Taxpayers who make less than $41,675 (single) or $83,350 (married filing joint) will not be taxed on their long-term gains. Filers with income above those thresholds, but below $459,750 (single) or $517,200 (married, filing joint) will pay 15% on long-term capital gains.

In addition, there is a separate Medicare surtax of 3.8% on net investment income (income received from investment assets) applied using a third set of income thresholds. Single taxpayers who make over $200,000 and married couples who make more than $250,000 will be subject to this 3.8% surtax on net investment income, in addition to the capital gains tax noted above. If you are close to this threshold it pays to do what you can to avoid the surtax.

Gains from the sale of short-term holdings (those owned for one year or less) will be taxed as ordinary income — at a federal rate as high as 37% depending on your other sources of income.

If your overall capital losses exceed your capital gains, you can deduct up to $3,000 of that excess loss each year from ordinary income. Unused capital losses above that can be carried forward indefinitely to be used in future years.

This year was a difficult one in the markets and as a result you may have investments that are currently showing a loss. If so, you may consider selling the shares to realize the loss and reduce your taxes. If you believe the holding is still a good long-term investment, there are a couple strategies you can use to capture the loss and ultimately remain invested.

Federal Income Tax Rates (Based on Household Inxomw)

Single	Pay	Plus	Of the Amount Over
Up to $10,275	$ 0	10%	$ 0
10,276 – 41,775	1,027.50	12	10,275
41,776 – 89,075	4,807.50	22	41,775
89,076 – 170,050	15,213.50	24	89,075
170,051 – 215,950	34,647.50	32	170,050
215,951 – 539,900	49,335.50	35	215,950
539,901 and up	162,718.00	37	539,900

Married, Filing Jointly	Pay	Plus	Of the Amount Over
Up to $20,550	$ 0	10%	$ 0
20,551 – 83,550	2,055	12	20,550
83,551 – 178,150	9,615	22	83,550
178,151 – 340,100	30,427	24	178,150
340,101 – 431,900	69,295	32	340,100
431,901 – 647,850	98,671	35	431,900
647,851 and up	174,253.50	37	647,850

Capital Gains Tax Rate

Single	Married, Filing Jointly	Capital Gains Tax Rate
Up to $41,675	Up to $83,350	0%
41,676 – 459,750	83,351 – 517,200	15
Over 459,751	Over 517,201	20

First, you can sell the stock for a loss and repurchase it in 31 days (the Internal Revenue Service requires you to wait 30 days to do so to avoid erasing the tax loss, the so-called "wash rule").

However you may be concerned about the stock moving up during the 30-day waiting period. One way to mitigate this risk is to double up on your position, wait 30 days and then sell the top-costing shares assuming they're still at a loss. You need to make the purchase before the end of November, in order to wait the 31 days and still take the loss in the 2022 tax year.

Another approach is to invest the proceeds from the

sale into a similar security within the same asset class of the one you sold. After 31 days you then sell the placeholder investment and repurchase your original holding.

Charitable Contribution Deductions

Whether you contribute cash, stock or other assets, it's important to adhere to the year-end deadlines for 2022 charitable contributions. First, in order to get tax benefits for charitable contributions you generally must itemize deductions.

If you donate cash to a charitable organization, you can deduct your donation in 2022 as long as you mail your check by Dec. 31. This is true even if the organization doesn't cash your check until 2023. If you charge your donation to your credit card, your donation is treated as occurring on the date the charge occurs.

If you donate stock or other securities by mailing certificates, the date of mailing is the date of the donation. If you have the shares donated electronically, the date your brokerage statement shows it leaving the account is the date of the gift. The value of your donation equals the average of the highest and lowest selling prices on that date.

Donations of clothing, household items and other goods can be deducted based on the fair market value of the goods. We recommend you make an itemized list and take pictures of your donated items in case your tax return is audited. We also suggest you "low ball" your estimates to be on the safe side.

For 2022, the deduction for charitable cash contributions is limited to 60% of your adjusted gross income (AGI). For non-cash contributions, the deduction is limited to 30% of AGI. Contribution amounts over those limits can be carried forward for up to five years. Note that this is a return to pre-2020 rules, after these limits were temporarily removed to encourage giving during the height of the pandemic.

Consider a Qualified Charitable Distribution

If you're over age 70.5, you have the ability to contribute directly to a charity using a distribution from your IRA account, better known as a qualified charitable deduction (QCD). For those over age 72, this distribution counts towards satisfying your required minimum distribution (RMD), but it does not count as taxable income. This is particularly powerful for those who don't itemize deductions on their returns and wouldn't be able to claim a deduction for their charitable gifts. The QCD allows you to give to charity, satisfy your RMD and reduce your taxable income.

Contribute the Maximum You Can to a Qualified Retirement Plan

In 2022, you can contribute the lower of $20,500 or whatever you earned to your 401(k) or 403(b) plan. If you're age 50 or older, you can add another $6,500 to that number. Contributing the maximum lowers your taxable income and the money in the 401(k) compounds tax-deferred. These contributions must be made in the form of payroll deductions before year-end.

If your AGI is below $109,000 as a married person filing jointly or $68,000 as a single/head of household, you also can make a tax-deductible contribution of $6,000 (or $7,000 if you are age 50 or older) to an individual retirement account, even if you are covered by a 401(k) plan at work.

Contributions to an IRA for 2022 can be made any time before the normal filing deadline of April 15, 2023, or when you file your 2022 tax return on extension, whichever date comes first. This is one area where you have time after year-end to make a decision.

Deadlines are Different For Those With Self-Employment Income

While IRA contributions must be made by April 15, that is not true for those with SEP IRAs, SIMPLE IRAs or solo 401(k) plans. The deadline for those plans is the date that you file your taxes. Thus if you file for an extension, you have until Oct. 15 to make your contribution.

If you have self-employment income and have not established a solo 401(k) plan, consider doing so. While the deadline to make a contribution isn't until your tax filing date, the plan itself must be established before year-end. Solo 401(k) plans offer higher contribution limits than SEP IRAs, and may be a better choice if you have excess income you'd like to shelter from tax.

Few Changes to Tax Law Made in 2022

While there were several tax changes proposed over the last year, when the Inflation Reduction Act finally was passed in late summer it contained almost no meaningful changes for individual taxpayers.

One notable win for investors was the continued survival of the "backdoor Roth" strategy.

Continued on Page 42

Online Calculators Predict When You May Be Financially Ready to Quit Working

Finding Your Ideal Retirement Age

by Malik S. Lee, CFP®, CAP®, APMA®

As you think about your golden years, it's important to consider your ideal retirement age — one that reflects your hopes for retirement but is also rooted in the reality of your financial status. And the truth is, we should be thinking about our preferred retirement age well before we're close to reaching it.

While most people envision 65 as the age of retirement, each individual should have a number specific to their goals and finances. Using a retirement calculator or a financial planner can help.

What Is Your Retirement Age?

Your retirement age is the best age for you to retire based on several factors, including your overall health, the trending economic business cycle and the savings earmarked for this life event.

Selecting the right retirement age is vital to a sound retirement strategy. Doing so can protect you from risks like the sequence of returns known to obliterate retirement portfolios. If you don't consider longevity risks when selecting a retirement age, you could even find yourself back at a part-time job to cover your bills.

When calculating your ideal year to retire, there are two different ages to consider. The first is your full retirement age when you become eligible for Social Security's Primary Insurance Amount (PIA) or 100% of your estimated Social Security payments. The second is at what age you can feasibly retire based on the full amount in your savings and retirement accounts.

Below, we'll discuss both retirement ages and review how to calculate your retirement age without risking your nest egg.

If the sheer thought of calculating your retirement age stresses you out, don't worry: The Social Security Administration actually determines your full retirement age for you, depending on your birth year:

- **If you were born between 1943 and 1954**, your full retirement age is 66.
- **If you were born between 1955 and 1959**, your full retirement age is between 66 years and two months and 66 years and 10 months.
- **If you were born in 1960 or later**, your full retirement age is 67.

While you can begin claiming Social Security benefits at age 62, it would be reduced by as much as 30%. In contrast, delaying your retirement to age 70 can increase your payments by 8% annually.

Retirement Calculators

If you take a more hands-on approach to your finances or work with a certified financial planner, you can use a more complicated (but accurate) calculation to determine your retirement age. One of the easiest ways to determine your retirement age is by using a retirement calculator. But a word of caution: Like with any other financial tool, if inaccurate data goes in, inaccurate data will come out. Make sure you are inputting valid data when calculating something as important as your retirement. For an accurate calculation, you'll need the following correct and up-to-date data:

- **Your current age**
- **The age you want to retire**
- **Your investment style/risk tolerance**
- **Your total household pretax income**
- **The total amount you have saved** for retirement to date
- **The amount you put toward retirement each year** (contributions via your employer count)
- **How much you will receive from Social Security benefits** and what your full retirement age is
- **Any other supplemental income** you will receive each year in retirement (i.e., pension, deferred compensation, etc.)
- **How much you plan to spend** each year of retirement

Pro Tip: In addition to retirement calculators, you can find free tools online to calculate estimated medical expenses in retirement.

While this is not a comprehensive list, knowing this information will make it easier to generate an accurate estimate of your ideal retirement age. Empowered with this information, you can use calculators like the Charles Schwab Retirement Calculator to estimate your age of retirement more accurately. Such calculators can even show you how much you'll need to save to retire at your ideal age. Please remember that this is only a rough estimate and should be treated as such. Certified financial planners consider other essential factors that most free calculators don't, including market volatility, inflation, leaving assets to heirs and managing liquidity needs.

Determining your retirement age will keep you on track for your retirement savings, but it can be tough to calculate on your own and free retirement calculators only go so far. Having an experienced and knowledgeable financial planner by your side is a smart move for retirement planning. B

Malik S. Lee, CFP®, CAP®, APMA®, is managing principal of Felton & Peel Wealth Management in Atlanta and New York.

Popular Product Features a Variable Rate of Return

Risks and Rewards of Indexed Annuities

by Gerri Walsh, President, FINRA Foundation and Senior Vice President, Investor Education

Indexed annuities, also known as fixed-indexed annuities or equity-indexed annuities (EIAs), have surged in popularity because of the way they incorporate features beyond those found in conventional fixed annuities (*see next page*).

Similar to fixed annuities, investors who buy indexed annuities are often guaranteed returns. But, unique to indexed annuities, a portion of those returns may vary because they are linked to a specific market index, such as the S&P 500. As a result, the return on these products generally may be higher or lower than the guaranteed rate of return on conventional fixed annuities.

As with conventional fixed annuities, indexed annuities are not subject to taxes until you begin receiving distributions. While all indexed annuities are regulated by state insurance commissioners, only those that are securities are regulated by the Securities and Exchange Commission and FINRA. Indexed annuities that are securities typically can expose investors to investment losses. If the indexed annuity is a security, generally a prospectus will be delivered to you.

Their popularity notwithstanding, indexed annuities are complex financial instruments and retirement experts warn that such annuities include a number of features that may result in lower returns than an investor might expect.

How Do They Work?

Indexed annuities have characteristics of both fixed and variable annuities. Their return varies more than a fixed annuity but not as much as a variable annuity. The returns on indexed annuities, which come in the form of interest credited to the contract, typically consist of a guaranteed minimum interest rate and an interest rate linked to a market index.

A market index tracks the performance of a specific group of stocks representing a particular segment of the market, or in some cases an entire market. Many indexed annuities are based on the S&P 500 or other broad indexes, but some use other indexes or may allow investors to select one or more indexes.

The guaranteed minimum interest rate usually ranges from 1% to 3% on at least 87.5% of the premium paid. As long as the company offering the annuity is fiscally sound enough to meet its obligations, you will be guaranteed to receive this return no matter how the market performs.

(To find a list of firms that provide ratings of insurance companies, visit the SEC's website.)

What Is the Rate of Return?

Index-linked returns will depend on how the index performs but, in general, the rate of return for an indexed annuity does not fully match the positive rate of return of the index to which the annuity is linked — and could be significantly less. One major reason for this is that returns are subject to contractual limitations in the form of participation rates, fees or caps.

Participation rates are the percentage of an index's returns that are credited to the annuity. For instance, if an annuity has a participation rate of 75%, then the index-linked returns would only amount to 75% of the gains associated with the index.

Some indexed annuities use a spread, margin or asset fee in addition to, or instead of, a participation rate. This percentage will be subtracted from any gain in the index linked to the annuity. For example, if the index gained 10% and the spread/margin/asset fee is 3.5%, then the gain in the annuity would be only 6.5%.

Interest caps, meanwhile, essentially mean that during big bull markets, investors won't see their returns go sky-high. For instance, if an index rises 12% but an investor's annuity has a cap of 7%, their returns will be limited to 7%.

Some indexed annuity contracts allow the issuer to change the fees, participation rates and interest caps from time to time, which could adversely affect your return. Investors should read their contract carefully to see if it allows the insurance company to change these features.

In addition, different indexed annuities use different methods for determining the change in the relevant index over the period of the annuity. These varying methods impact the calculation of the amount of interest to be credited to the contract based on a change in the index. The variety and complexity of the methods used to credit investors can also make it difficult to compare one indexed annuity to another. In addition, under the terms of some indexed annuity contracts that are securities, you could lose more money in your indexed annuity when the market index goes down.

How Accessible Are the Funds?

Indexed annuities are long-term investments and getting out early may mean taking a loss. Withdrawing the principal amount from an indexed annuity during a certain time period — usually within the first six to 10 years after the annuity was purchased — may result in fees known as surrender charges and may also trigger tax penalties.

Also, under some contracts, if withdrawals are taken, amounts already credited from returns will be forfeited.

Surrender charges will reduce the value and return of your investment.

The result: After paying surrender charges, depending on the returns and amounts forfeited, an investor may lose some of the principal invested by surrendering an indexed annuity too soon.

As with any investment, it's important to do your research and thoroughly review the contract for the product being offered to you to determine whether it meets your needs.

Money Now and for the Rest of Your Life…for a Price

Immediate Annuities

by Gerri Walsh, President, FINRA Foundation and Senior Vice President, Investor Education

Some dream of spending their golden years in exotic locations, indulging in exciting trips to ancient ruins and sampling spicy, local cuisine. But when it comes to retirement savings, even the most adventurous seniors may still consider something routinely described as "plain vanilla": a fixed immediate annuity.

Perhaps the simplest of all the annuity options, a fixed immediate annuity does what its name suggests. It begins delivering steady income shortly after an investor buys a contract, often within 30 days and always within 13 months. A variable immediate annuity also delivers income quickly but, unlike with fixed annuities, your payments will fluctuate.

An immediate annuity is a contract between an investor and an insurance company, with the investor paying the insurance company a lump sum in exchange for regular income payments. Those income payments may be paid monthly, quarterly, semiannually or annually and are generally guaranteed to last as long as the contract holder is alive — or, depending on the contract's terms, for a set period of time such as 10 or 20 years.

Fixed Immediate Annuities

Fixed immediate annuities have guarantees that can offer comfort to retirees who worry about the risks of keeping their money in financial markets. When you buy a fixed immediate annuity contract, you are guaranteeing that your monthly (or other periodic) income payments will remain the same, regardless of market conditions, for the time period specified in the contract.

The drawback of such a guarantee for fixed immediate annuities is that it won't bring big bucks. Fixed immediate annuity payments typically trail the returns that investors would see on equity and bond portfolios during a bull market. Thus, the trade-off for predictability might be lower returns when compared to what your money might have generated had you invested in the markets. Another drawback to fixed immediate annuities is that, as time passes, a retiree with an annuity that offers a fixed payment amount may find that their regular payments don't stretch as far as they once did due to inflation. Annuity buyers can sometimes purchase riders with the contract that feature cost-of-living increases or fixed increases to soften the blow of inflation but, as with other riders, this will increase the cost of the annuity and may lower your overall returns.

Investors should evaluate their risk appetite when considering fixed immediate annuities. Retirees with a high risk tolerance and the ability to absorb risk may be turned off by fixed immediate annuities' conservative returns, but those with low risk tolerance and a wariness of market volatility may feel differently.

Variable Alternatives

Investors who want to receive annuity payments immediately along with the possibility of higher returns might want to consider variable immediate annuities. Variable immediate annuities, like other variable annuities, allow you to allocate your principal into a wide array of underlying investments, including stocks, mutual funds and bonds. Your allocations typically aren't set in stone, allowing you to move money out of one underlying investment and into another.

Unlike fixed immediate annuities, the value of your variable immediate annuity — and the payments you ultimately receive — will fluctuate based on how your underlying investments perform, meaning that investors have the potential to reap rewards if their investments grow but could also lose money if their investments flounder. As such, variable immediate annuities are considerably riskier than their fixed counterparts.

The Benefits of Living Longer

In general, those who may benefit most from immediate annuities are healthy people who expect to live longer-than-average lives. If your life were to be unexpectedly cut short, you would have received relatively little in annuity payments. And, unless your contract includes a death benefit or you have purchased certain riders, your surviving spouse or your heirs would not be entitled to any payments under a standard contract guaranteeing lifetime payments.

FINRA is the largest independent regulator for all securities firms doing business in the U.S. Its chief role is to protect investors by maintaining the fairness of the U.S. capital market.

Group Has a 'Pounce List' to Challenge Current Holdings

Alchemy Investment Club Goes for 'Gold'

by Scott D. Horsburgh, CFA®

In December 1998 at Adelphi University in New York, 11 individuals were looking to join an investment club after attending a class on BetterInvesting principles and the Alchemy Investment Club was formed. Alchemy is the ancient art of attempting to turn ordinary metal into gold. Today, the club counts 10 members, including three founders.

As a veteran club, Alchemy has developed sound practices. Experienced members mentor new members until they are given their own stocks to follow. Everyone except the treasurer follows one or two holdings. Reports are given on each holding quarterly, timed to its appearance in Value Line. The club maintains a "pounce list" in case it needs to challenge an existing holding. Like with most investors, Alchemy is more confident buying than selling.

The club notes that "balancing our portfolio has been a struggle," and that is an understatement. Almost half the club's portfolio consists of **Alphabet** (Google) and **Visa** with the rest made up of 11 other stocks. In other words, the portfolio is much less diversified than implied by a 13-stock portfolio.

Alphabet, Adobe, Qualys, Cognizant Technology Solutions

About 44% of the Alchemy portfolio consists of what I classify as tech stocks, including 29% between the two classes of Alphabet **(tickers: GOOG, GOOGL)**. The club has almost tripled its money in Alphabet despite the decline in its stock price in 2022. Members observe that it seems counterintuitive to sell a great stock and replace it with something that isn't as good.

But the club simply has no choice — you can't run a portfolio when so much depends on just one company. Some shares have to be sold and taxes will need to be paid. Paying off departing members with Alphabet shares would also be a good idea if permitted by the club's operating agreement.

The club also owns **Adobe (ADBE)**. Recent results have been uninspiring, owing to difficult comparisons, the cessation of business in Russia and Belarus and the strength of the dollar. At recent levels, the dollar is up an astounding 15% from the beginning of 2022. All other things equal, overseas sales will translate to 15% fewer dollars this year than last year. This will hit virtually every global business except those rare few that bill foreign sales in dollars. Alchemy has a loss in Adobe stock that would help offset some of the gain from selling Alphabet if the club is concerned about taxes. Other than taking a loss, I don't have any long-term concerns about Adobe.

Looking at valuations, Alphabet trades at 19x trailing

Alchemy Investment Club

Company	Ticker	No. shares	Cost	Sep. 19, 2022 Price	Sep. 19, 2022 Value	Gain/ (loss)	%Gain/ (loss)	Quality rating*	% Growth estimate**	% of portfolio	Trailing P/E	Trailing EPS
Addus HomeCare Corp.	ADUS	35	$ 2,979	$ 92.31	$ 3,231	$ 252	8.5	3	12	1.8	33	$ 2.77
Adobe	ADBE	17	9,464	296.06	5,033	(4,431)	(46.8)	1	20	2.8	29	10.14
Alphabet	GOOG	260	9,108	103.85	27,001	17,893	196.4	1	15	14.8	19	5.38
Alphabet (Class A)	GOOGL	260	9,108	103.07	26,798	17,690	194.2	1	15	14.7	19	5.38
Cognizant Tech. Solutions	CTSH	100	3,958	63.21	6,321	2,363	59.7	2	9	3.5	15	4.31
D.R. Horton	DHI	265	20,402	73.09	19,369	(1,033)	(5.1)	3	10	10.6	5	15.57
Fastenal	FAST	132	4,136	48.43	6,393	2,257	54.6	1	10	3.5	27	1.79
Fox Factory Holding Corp.	FOXF	22	2,752	85.49	1,881	(871)	(31.7)	3	13	1.0	20	4.30
Installed Building Products	IBP	98	10,770	86.22	8,450	(2,320)	(21.5)	3	15	4.6	16	5.38
Medtronic	MDT	70	5,349	89.68	6,278	929	17.4	1	6	3.4	23	3.87
Monster Beverage	MNST	190	8,430	87.85	16,692	8,262	98.0	2	12	9.2	38	2.29
Qualys	QLYS	102	10,050	152.16	15,520	5,471	54.4	3	16	8.5	59	2.56
Ulta Beauty	ULTA	19	4,321	421.47	8,008	3,687	85.3	3	12	4.4	32	13.01
Visa	V	150	9,955	193.13	28,970	19,014	191.0	1	16	15.9	27	7.17
Cash			2,068		2,068			1		1.1		
Average									13		26	
TOTAL			**$112,848**		**$182,011**	**$69,163**	**61.3**			**100**		

* Based largely on rankings published by Value Line.

** As estimated by the author, with data from Thomson Reuters.

Note: Numbers in the table have been rounded.

The Alchemy Investment Club. Top row left to right: Rochelle Bauman, Dorothy Rausch and Les Maddison. Second row: Diane Abrams, Shameka Beeks and Ila Barnes. Third row: Hedy Kramer, Joey Miranda and Anat Benjamin. Bottom row: Robin Simpson.

earnings while Adobe is at 29x. If the club is concerned about "trading down" if they trim Alphabet, consider trading up to **Microsoft (MSFT)** at 25x trailing earnings. That would leave the portfolio still heavy in tech stocks though.

Cybersecurity firm **Qualys (QLYS)** has been one of the few technology companies to avoid the market downdraft this year that has hit tech stocks particularly hard. That's because its revenue growth has picked up in recent quarters after two years of moderate growth. Earnings per share followed suit. Most similar companies are seeing sales growth decelerate, albeit from higher rates of growth, while remaining unprofitable. Most of the industry's superstars like **Crowdstrike (CRWD)** and **Palo Alto Networks (PANW)** are generating strong revenue growth but still losing money. Qualys' price-earnings ratio of 59 is at nosebleed levels, but at least it has earnings. The stock will likely hold up as long as it maintains the current growth rate, but consider selling some if growth slows and the valuation still remains high.

For many years, **Cognizant Technology Solutions (CTSH)** was a juggernaut with growth compounding at 20% annually. Starting in the middle of the last decade, growth slowed to the low teens, briefly ceased and now seems to be settling in at a sustainable rate. It was a difficult transformation for a company accustomed to installing and maintaining software on customers' premises, but customers are turning to Cognizant for help with their digital transformation. The current P/E of 15 isn't bad at all.

Keep an eye on its pretax profit margins. They bottomed out in 2020, recovered in 2021, but appear to be flattening out. My concern is that Cognizant could become a "body shop" with commoditized margins rather than a source of expertise that can charge for delivering solutions.

D.R. Horton, Installed Building Products, Fastenal, Fox Factory Holdings

The next largest sector representation in the Alchemy portfolio is somewhat of a surprise: manufacturing. Between **D.R. Horton (DHI)** and **Installed Building Products, Inc. (IBP)**, the club has over 15% of its portfolio exposed to residential construction. That seems too much, especially with higher interest rates starting to impact the housing sector. Horton is the largest homebuilder in the U.S. and its P/E is less than 5. Earnings will likely come down, but the company has remained profitable in all but the worst environments (2008-2009).

IBP installs products in new homes and remodels on behalf of the general contractor. Its largest category is insulation at 64% of 2021 sales, but also installs garage doors, closet shelving systems, window blinds and similar products. I'd never heard of the company before. It reads like a "roll-up."

A roll-up is a company that stitches together a national presence by acquiring small providers that are typically privately held. Sometimes it succeeds; garbage hauler **Waste Management (WM)** was at one time a roll-up. More frequently, roll-ups get caught between high debt and low margins or they become so big that new acquisitions cease to have much impact. The value they create for shareholders is due to "arbitraging" the difference between how public and private companies are valued. As public companies, they have a lower cost of capital than the small companies they acquire; they appear to grow because they acquire small private companies at very low P/E ratios. Other than obtaining better prices on the products they purchase, there seems to be little value added when a building products installer goes national. There is a time limit to this type of growth unless they become one of the fortunate few like Waste Management.

Riding on the trend of a booming housing market in recent years and price inflation, IBP's metrics look outstanding. Growth has been terrific, as have earnings and cash flow. Management has been through past cycles, including 2008-2009. Its stock price is down just 8% from its all-time high, much better than the 34%

decline reported by D.R. Horton.

Horton has a much cleaner balance sheet and less debt than IBP, trades for one-third the P/E, and it's higher on the food chain than a subcontractor like IBP. Yet, IBP's stock has hung in there better, at least for now. The club should reduce its reliance on housing by at least one-third and I'll leave it to members to figure out how to do it.

Industrial supplier **Fastenal (FAST)** has also held up well as its business has remained strong. Favorable cost-price trends are responsible for much of its recent success. It trades at a premium P/E ratio of 27 despite considerable economic sensitivity. One big positive is its pristine balance sheet. If one has exposure to the industrial sector, Fastenal is among the strongest and steadiest players in a notoriously volatile sector.

The Alchemy club also includes another industrial favorite in its portfolio, **Fox Factory Holdings (FOXF)**. Fox makes shock absorbers and other ride handling equipment for performance bicycles, motorcycles, trucks and off-road vehicles. The company's growth has been spectacular for many years. Results remain strong, although margins have been soft as it deals with cost pressures. The stock has fallen over 50% from its all-time high and this might represent a good time for the club to consider increasing its smallest holding, just 1% of the portfolio.

Visa

Financial stocks comprise 16% of the Alchemy portfolio, consisting of just one stock, Visa (V). Visa's stock has softened lately, likely due to the impact of higher interest rates on its premium valuation. Its P/E is 27. Growth should be strong, although COVID-19 revealed more economic sensitivity than investors had previously seen from the company. Strong cash flow helps it make periodic acquisitions, pay a growing dividend and buy back significant amounts of stock. I put Visa in the "expensive but worth it" category. But at 16% of the portfolio it is getting to be too much of a good thing. The club may want to distribute some shares to departing members or look to trim the Visa position to fund other great opportunities.

Monster Beverage Corp., Ulta Beauty

Next, we turn to the consumer sector. Outside its two mega holdings, Alphabet and Visa, its next largest holding is **Monster Beverage Corp. (MNST)**. Monster makes a variety of beverages led by its eponymous Monster energy drinks. The balance sheet is beyond clean and cash flow is strong. But rising costs have led to lower earnings for each of the past four quarters. Pretax margins that were reliably in the mid-30s have sunk to 27% over the past year. The stock has held up well in the market swoon as investors prize the stability of food and beverage companies. The P/E of 38, admittedly measured on depressed earnings, is too high for its long-term sales growth of 12%. My own stock study suggests the return potential is reasonable, but only if it maintains its premium P/E ratio. I'd take some profits, particularly in this environment where high P/E growth companies are seeing their valuations come down.

Its other consumer stock is **Ulta Beauty (ULTA)**. The company has rebounded solidly from the shutdown of its stores in the early part of the pandemic. This is due to a quick swing to online selling and the large loyalty program it has amassed. Despite likely challenges from inflation and more difficult year-over-year comparisons, Ulta sports solid growth and trades at a moderate P/E of 18.

Medtronic, Addus HomeCare

Lastly, we have two medical stocks at opposite ends of the spectrum. One is **Medtronic (MDT)**, the giant manufacturer of medical devices like pacemakers and spinal products. Sales growth has been just 1% annually since fiscal 2015 with EPS growth in the mid-single digits. As a global company, it will likely struggle with weak foreign economies and the strong dollar for the foreseeable future. Like most medical device manufacturers, its P/E seems kind of high at 23 on a GAAP basis (generally accepted accounting principles), but it has a more palatable 16x non-GAAP EPS. It's a solid company, but Alchemy should challenge Medtronic until it finds a better growth stock.

In the small-cap space, the club owns **Addus HomeCare (ADUS)**. The company contracts with government agencies and insurance companies to provide in-home personal care, home health care and hospice services in 22 states. Most of its customers are "dual-eligible," meaning that they are enrolled in both Medicare and Medicaid. Home care is typically much cheaper than facility-based care and is generally preferred by customers and families. Historically, there was no "moat" surrounding the industry as high employee turnover reduced the efficiency advantage of being bigger while low and inconsistent licensing and regulatory requirements helped small providers remain in business. The turnover challenge is unlikely to change, but expanding regulations, particularly surrounding Medicare and Medicaid, increase the appeal of larger agencies like Addus.

Addus can come across favorably on a stock study, depending on the assumptions used. I modeled 14% revenue growth combined with deleverage to produce 12% EPS growth. Its historical P/E ratios are insanely high and this is where it gets tricky. It appears to be a strong buy if you use the typical high P/E of 49.5. But that represents a P/E to growth ratio of 4:1, a P/E four times its EPS growth rate. At a PEG of 3, the stock is still in the buy zone. At a PEG of 2, a high P/E of 24, it's almost a sell.

Through the first two quarters of 2022, Addus has experienced slowing revenue growth and lower EPS. Even when results were stronger last year, organic revenue growth was just 1.5%. Acquisitions made up the remainder. The total number of patients

served was also up 1.5%, including acquisitions.

For comparison, consider **Ensign Group (ENSG)**. It runs long-term care facilities rather than managing home-care like Addus, but both serve similar patient populations and produced 1.5% organic revenue growth in 2021. Ensign's P/E is half that of Addus. I'm not saying sell Addus and buy Ensign, but Addus' P/E feels dangerously high when another company can be bought for half the valuation. I would move on.

Summing Up

The Alchemy Investment Club portfolio is a solid mix of small, medium and large companies across a range of sectors. While I have a philosophical difference with some club members when two stocks comprise almost half the portfolio, Alphabet and Visa are winners and an above-average weight can be tolerated. Still, I would consider trimming some Alphabet and replacing it with another high-quality growth company like Microsoft. I'm not particularly sold on Monster Beverage and would trim that holding as well given its valuation and sluggish results of late.

The club has too much exposure to the housing market and I'm concerned IBP has no moat to protect it. Medtronic isn't growing fast enough to justify its valuation and I would look for a replacement. Adobe is a tax-loss candidate to help balance out the Alphabet gain if the club is concerned about taxes, but otherwise Adobe is solid. Fox Factory Holdings is a tiny portion of the portfolio but merits consideration for a bigger stake.

From its "pounce list," **Concentrix (CNXC)** and **Taiwan Semiconductor (TSM)** appear to be reasonable challengers to stocks warranting sale or a vigorous comparison. Other candidates include **FleetCor Technologies (FLT)** and **Lululemon (LULU)**.

The Alchemy club is on the right track, balancing blue chips like Alphabet and Visa with high-potential mid- and small-caps like Qualys and Fastenal.

Even when I have concerns like IBP, the club has clearly done some homework to unearth strong growth companies. Don't lose site of quality and growth even as you balance out the outsized positions and challenge certain holdings.

Scott D. Horsburgh, CFA, president of Provident Investment Management of Novi, Mich., co-authors the Investor Advisory Service newsletter.

Visit www.investprovident.com.

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Club Accounting

Clubs Have Help in Finding Entry Errors in Their Books

myICLUB Creates Reconcile Accounts Feature

by Russell Malley, Club Accounting Adviser, ICLUBcentral

Soon it will be time to close the club books for the year. This is a good time to remind treasurers of the advantages of auditing the club accounting records on a regular basis. In addition, there is a new feature in myICLUB to help keep accurate records and find entry errors. First, audit advantages and then the new feature.

There is a good reason auditing club accounting records is a more frequent topic of my articles. Problems caused by missed accounting errors can be more complex and time-consuming to find and correct for our support staff. These cause more stress for treasurers. They can also add stress for club members, especially if the errors delay tax filing.

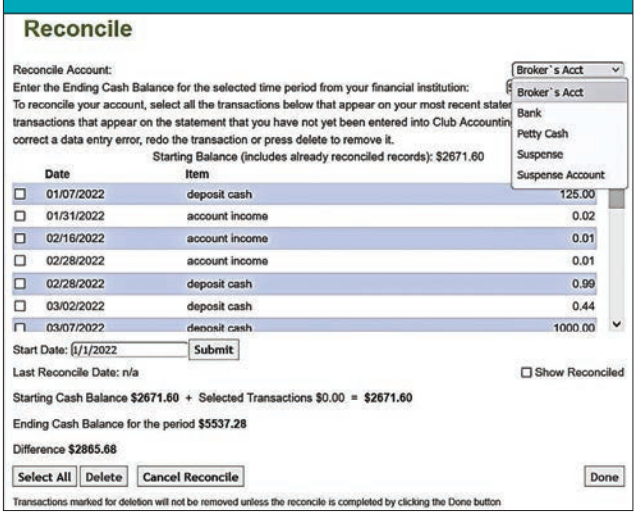
So, I do harp a bit on a regular audit of club records as a best practice. A more formal audit by non-treasurer members of the club annually should be done. Most club records are not complex enough to make this task difficult. While not necessary, if the auditing members are familiar with myICLUB reports and links to display transaction lists, the audit can be completed quickly.

The treasurer would need to supply written copies of reports if auditors are less familiar with myICLUB. ICLUBcentral has a checklist of audit documents and tasks to help perform an audit available for download here: **https://www.iclub.com/clubs/ICLUBtherapist/therapist_article.asp?name=t_20001218**. A new member to the club may be a little overwhelmed with audit duties. Include at least one experienced member to an audit committee. An audit committee with a mix of experienced and new members also accomplishes the need to train members in different aspects of running an investment club.

The annual audit will go by quicker and more smoothly if the treasurer does some mini-audits during the year. This would include checking financial statements for matching shares owned and reconciling cash balances. Checking that all transactions on the statement are recorded in the club records would also be part of this process.

This is where the new feature released in October helps (*see graphic*). This is the Reconcile accounts process. The link to start the process is on the Accounting page under the Wizards heading in the left navigation column. Clicking on the link starts the process with a data backup option. The reconcile process does include the ability to delete a transaction record. Frequent data backups are a good idea in any case. I recommend starting the reconcile with a data backup. The main reconcile page appears after the backup or if you choose to skip the backup. There is a drop-down menu to select the cash account to be reconciled and a list of transactions. The first time the process is used, the start date is Jan. 1 of the current year. The algorithm assumes the club reconciled the accounts for the previous tax year. To use a different start date, change the date and click the Submit button next to the start date field. Another field allows for entering the beginning balance of the cash account at the starting date. The default is the balance in your club records, since the last reconcile was completed or Jan. 1 of the current year. The transaction list has a check box next to the description of each transaction. Click the check box to indicate that transaction is on the statement and in your records.

myICLUB's Reconcile Accounts Feature



Continue until all statement transactions are checked in the transaction list. The difference field informs you of the difference between your records and the statement balance. Click the Done button when finished. After the Done button is clicked, it is possible to delete transactions entered in error. Check the box next to the transaction name and click the Delete button. This will remove the transaction from the club records. Clicking the Delete button before the Done button may remove the transaction from the reconcile list but does not delete it from the club records. The above view of the Reconcile page is for the first reconcile.

By the time this article is published, a link to an ICLUBcentral webinar covering the reconcile feature should be available in the Videos section of your myICLUB account. It should be the 2022-10-16 webinar.

Ongoing Auto Supply Chain Constraints Aid Auctioneer

Copart, Inc.

Copart, Inc. (ticker: CPRT) remains the top U.S. provider of homes for vehicles wrecked in accidents, stolen and recovered, and worn out by old age. Its chief business is charging sellers and buyers commissions for disposing of vehicles through online auctions.

Additional revenue sources include charges for the following: placing bids; processing and preparing titles; and loading, transporting and storing vehicles. The company also conducts direct sales of select vehicles with limited or no damage.

The COVID-19 pandemic produced temporary setbacks. Consumers stuck at home drove fewer miles — and had fewer accidents. That reduced the number of salvage vehicles going to auction.

Members of the Editorial Advisory and Securities Review Committee discussed trends that may affect Copart's long-term prospects. The inclusion of more and more safety-related electronics in vehicles is one such development.

By reducing accidents, such technology ultimately could cut the supply of salvage vehicles. Perfection of autonomous vehicle technology similarly might reduce the supply of wrecks. It could take many years, perhaps decades, before such supply disruptions affect Copart's results, however. On the other hand, the expense of repairing costly electronics might mean damaged vehicles are more likely to be auctioned.

Prolonged heightening of inflation rates might also constrain supply: Insurers might choose to cover repair costs rather than issue larger payouts to owners of vehicles deemed total losses and sent to auction.

Political risk at state, national and international levels is another concern.

Committee members noted that some state governments impose constraints on the titling of salvage vehicles, complicating auction operations.

Titling rules are just one category of such risk. The National Auto Auction Association recently reported that state legislatures are considering 313 bills related to the auction and used vehicle industries. Of those, 61 bills concern the regulation of auctions. Vehicle titles are the subject of 67 bills.

The stock's $109.65 close reported Oct. 3 was 31.9% below the 52-week high of $161.12 recorded on Jan. 4. The stock underperformed the S&P 500, which over the same time frame decreased 23.7% to 3,678.43 from a Jan. 4 high of 4,818.62.

The stock's trailing 12-month price-earnings ratio was 24.2 (*see table*); the ratio for the S&P 500 was 19.0. Committee members noted that Copart has a long history of carrying premium valuations.

Among reasons for that are the following: a high-margin, technology-driven business model; limited industry competition; a consistently strong balance sheet; and a track record of positive free cash flow generation.

A New Future? Copart is the top seller of vehicles smashed in accidents, recovered after a theft or just plain worn out. Buyers make some road-ready again.

CSIMarket, a financial data service, reported a TTM P/E ratio average for the automotive aftermarket industry of 13.1. Based on figures Yahoo Finance reported, the P/E average was 20.8 for Copart and two of the three competitors named by Morningstar. (One competitor reported losses and was omitted from the calculation.)

For P/E to projected growth, or PEG, Copart had a ratio of 1.1, according to various sources. (Yahoo Finance didn't display a PEG ratio on its webpage for Copart.) A range of no more than 1.0 to 1.5 is generally considered desirable.

Salvage Solutions

When a vehicle is in an accident, the owner's insurance carrier estimates repair costs. When projected costs exceed resale value, the insurer typically sends the totaled vehicle to an auction service. Insurers supply about 81% of Copart's vehicle inventory. The company also handles vehicles sent down by rental agencies, automotive charities, banks and other financial institutions, and individuals. Salvage vehicles typically serve as sources of usable parts.

Copart serves as an intermediary, doing business with buyers such as exporters, licensed dismantlers, used vehicle dealers and individuals. The company does business in every state but Vermont.

Copart typically has a worldwide inventory of almost 200,000 units. It distributes vehicles exclusively through online platforms. That's a change from the pre-digital era, when Copart held onsite auctions. The company maintains more than 200 salvage yards worldwide where damaged and recovered vehicles are stockpiled.

Copart offers a range of ancillary services. For example, a customer can pay a fee to enter a salvage yard and remove valuable vehicle parts. A potential buyer also can visit a yard to inspect vehicles before bidding. Copart facilities include inspection stations and staffers can offer salvage estimates.

Copart, Inc.									
	2022 (ended 7/31/22)	2021 (ended 7/31/21)	% change	FY 2022 Q4	FY 2021 Q4	% change	FY 2022 year to date	FY 2021 year to date	% change
Net sales	$3.5 billion	$2.7 billion	30.0%	$883.4 million	$748.6 million	18.0%	—	—	—
Net income*	$1.1 billion	$0.9 billion	16.4%	$263.7 million	$256.0 million	3.0%	—	—	—
Diluted EPS*	$4.52	$3.90	15.9%	$1.10	$1.06	3.8%	—	—	—
Declared dividends	—	—	—	—	—	—	—	—	—

Stock exchange	Nasdaq	Value Line long-term earnings growth estimate	11.0%
Ticker symbol	CPRT	Consensus long-term earnings growth estimate (9 analysts)	22.3%
Price at time of selection	$106.40	Consensus EPS growth rate for FY ended July 2023	4.5%
Past year's price range	$102.21 – $161.12	Consensus EPS growth rate for FY ended July 2024	8.8%
Recent market price	$109.65	Recent price-earnings ratio**	24.2x
Market capitalization	$26.1 billion		

* Excluding nonrecurring and special items.

** The P/E ratio is based on diluted EPS of $4.53 for the four quarters ended July 31.

Sources: Morningstar, Yahoo Finance, Value Line and company reports

Globally, the company's service segment generated almost $2.9 billion in fees — 81.5% of total revenues for fiscal 2022 (ended July 31, 2022). The vehicle sales segment accounted for $647.9 million — 18.5%. Domestic business accounted for revenues of $2.9 billion — 84.1%.

Drawing on 10 years of experience in the vehicle salvage field, Willis J. Johnson co-founded Copart in 1982. He bought out his partner four years later. Johnson, 75, remains involved as board chairman.

The company began with a single salvage yard near Oakland, California. Copart grew rapidly as Johnson built a nationwide network of salvage yards, largely through acquisitions.

Copart also offered customers innovative new services. Copart went public in March 1994.

A. Jayson Adair, 53, is Johnson's son-in-law and became a Copart manager in mid-1989. He was appointed CEO in February 2010 and serves now as co-CEO with Jeffrey Liaw.

Liaw, 45, joined the company in 2015 as chief financial officer. He has served as president since 2019 and became co-CEO in April. Liaw previously was CFO of Fleetpride, a unit of private equity firm TPG Capital and the largest independent distributor of aftermarket truck parts in the United States.

Two years ago industry sources estimated that Copart had up to a 45% share of the national market for auction services. That was an increase from about 36% in 2014.

The company is effectively part of a domestic duopoly with smaller competitor IAA (ticker: IAA). The corporations together were estimated to hold 80% of the domestic market in 2020.

In addition to IAA, competitors include KAR Auction Services (KAR), formerly ADESA; and Ritchie Bros. Auctioneers (RBA), Morningstar reported.

Some New Deals

One of the company's most recent marketing initiatives was the launch of Copart Select in December 2021, a platform through which vehicles with clean titles and minimal or no damage are auctioned. The platform omits inventory titled as salvage, rebuilt and reconstructed vehicles. Offered vehicles typically are models no more than eight years old, with relatively low mileages.

The company currently does business in 10 foreign countries. It expanded internationally in 2003, opening a salvage yard in Canada. Four years later Copart established a presence in the United Kingdom.

The company now also has operations in Bahrain, Brazil, Finland, Germany, Oman, the Republic of Ireland, Spain and the United Arab Emirates. In 2022 international business totaled $555.8 million — 15.9% of total revenues.

Final Notes

BetterInvesting Magazine featured Copart as the Stock to Study for April 2015. CPRT didn't appear in the Top 100 Survey of investor holdings for 2021 (*see the April 2022 issue*).

Copart shares underwent 2-for-1 stock splits in 1999, 2000, 2012 and 2017. A 3-for-2 split occurred in 2002. The company doesn't offer a direct stock purchase plan. It has never paid cash dividends and has no immediate plans to institute them.

Note that the partially completed Stock Selection Guide available at the BetterInvesting website uses Morningstar data, which reports fiscal year share pricing. (Copart's fiscal year ends in July.) In contrast, Value Line offers calendar-year pricing information. The following are Value Line's

rounded calendar-year price ranges for the past five years:

- **$27.60 to $44.80 (2017)**
- **$39.20 to $67.10 (2018)**
- **$46.70 to $92.40 (2019)**
- **$55.70 to $131.00 (2020)**
- **$101.90 to $161.10 (2021)**

The share total has fluctuated over the past 15 years, rising annually since 2019, Value Line reported. The company last repurchased shares that year as well.

Committee members said Copart recently tapped free cash flow to reduce debt by approximately $400 million. Now that the company has much less debt to pay down, how its newly freed cash flow will be used remains an open question, they said. It could go toward capital expenditures to drive growth, for example. Alternatively, management may fund further share repurchases.

More background on Copart and its industry, including the Value Line analyst and Value Line industry reports, can be found in the magazine section of the website. For more information, contact Investor Relations, Copart, Inc., 14185 Dallas Parkway, Suite 300, Dallas, TX 75254-1327.

— Reporting by contributing editor Kevin J. Lamiman

Next Month's Stock to Study and Undervalued Stock

The Editorial Advisory and Securities Review Committee met on Nov. 18. The Stock to Study and Undervalued Stock that its members selected were announced shortly afterward. The below link will take you to the announcement at the BetterInvesting Newsroom:

www.betterinvesting.org/about-us/news-releases

SSG Study Notes

During your analysis of Copart, Inc. you might consider the following comments and questions for further study:

- **Capitalization section:** In the past decade CPRT has reduced the float of common shares, adjusted for splits, by about a third. Assuming the trend toward buying back shares continues, would that make an investment more attractive? Are you comfortable with free cash flow used for tech investments and expansion as opposed to a cash dividend? CPRT has no defined benefit plan for its 8,600 employees, which removes a potential hazard to its finances. Additionally, long-term debt is a relatively modest $402.7 million against the company's market capitalization of more than $26 billion.

- **Section 1 (Visual Analysis of Sales, Earnings and Price):** CPRT's historic sales growth rate of 14% is roughly double that of its competition and figures into the company's status as category leader among automotive salvage operations. Additionally, pretax profit growth has averaged more than 36% a year for the past five, far ahead of its competitors. What automotive trends might play to CPRT's advantage? Or disadvantage? Is the tendency toward safety equipment and vehicles lasting longer a factor in fewer vehicles salvaged? How might the advent of battery-powered electric vehicles (BEVs), which have fewer parts, influence CPRT's salvage business?

- **Section 2 (Evaluating Management):** Return on equity has averaged nearly 30% for the past five years though it has declined in the past two years. Is the downward trend for ROE a cause for concern? CPRT has been paying off debt, which could be the reason for a lesser return and ultimately a benefit to the balance sheet. Five years ago the ratio of debt to capital was about 20%, today it's about 2%. Could this reduction prove to be a powerful advantage in the event of an economic recession and runup in interest rates such is unfolding? With CPRT operating in Canada and nine other foreign countries, the upside potential for global expansion as more countries move toward personal ownership of automobiles looks substantial.

- **Section 3 (Price-Earnings History):** In the past five years, CPRT shares have notched a compound average growth rate (CAGR) of 25% — implying roughly a doubling of share price in three years. Could the company's share price maintain this average growth rate? What are the practical limits of price appreciation once a company is known as a top performer? The company's founder — who started the company in 1982 — remains involved as company chairman, with his son-in-law serving as co-CEO with an outsider. Together they own nearly 11% of the common stock. Might the eventual loss of an involved founder bode ill for the company's future — or perhaps lead to a different operating style? How might those management uncertainties influence the purchase of a stock selling at a TTM price-earnings ratio of 24.2 compared to the 19.0 P/E of the S&P 500?

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Stock Selection Guide®

1

Company Copart Inc. Date

Prepared by Data taken from Morningstar

Where Traded NASDAQ Major product/service Consumer Cyclical

CAPITALIZATION --- Outstanding Amounts Reference

Preferred ($M)	0.0	% Insiders	% Institution
Common (M Shares)	240.7	3.6	93.7
Debt ($M) 119.5	% to Tot.Cap. 2.6	% Potential Dil.	

Symbol: CPRT

1 VISUAL ANALYSIS of Sales, Earnings and Price

2

FY 2022 Q4 (Ended 7/31/2022)
RECENT QUARTERLY FIGURES

	SALES ($M)	EARNINGS PER SHARE ($)
Latest Quarter	883.4	1.10
Year Ago Quarter	748.6	1.06
Percentage Change	18.0%	3.8%

3

2022 sales = $3.5 billion
2022 high price = $161.1
2022 low price = $102.2
2022 EPS = $4.52

4

(1) Historical Sales Growth 14.0 %
(2) Estimated Future Sales Growth %
(3) Historical Earnings Per Share Growth 25.7 %
(4) Estimated Future Earnings Per Share Growth %

Figure 1
Capitalization information. Besides background about the company, including the data source used for the study, this section provides information about the number of common and preferred shares and the percentages held by insiders and institutional investors. The company's total debt and the percentage of debt to total capital also are detailed.

Figure 2
Recent sales and earnings results. This section contains the company's most recent quarterly results along with a comparison of results from the same quarter a year ago.

Figure 3
Visual analysis of sales, earnings and price. The graph provides a quick view of the company's financial results. A long-term history of consistent sales and earnings growth at relatively high rates indicates the company is well-managed and worth the time to study further.

The company's historical sales growth is plotted on the green line and historical earnings growth is represented by the blue line. The black bars provide information about the stock price. For each year, the top of the bar is the annual high price, while the bottom is the low price.

Figure 4
Forecasting future sales and earnings growth rates. This is the section in which you provide the first two primary judgments. The core of the BetterInvesting methodology is this: Sales growth drives earnings growth, and earnings growth drives stock price. Using the Stock Selection Guide, you'll forecast growth rates and determine the stock's potential high and low prices over the next five years.

The first step is to forecast sales growth. The company's historical performance is useful information, but you'll need to research the company and decide whether its revenue growth will continue at the historical level, slow down or possibly speed up.

After estimating sales growth, the next step is to forecast growth in earnings per share. In many cases you can estimate EPS growth that's similar to the rate you used for sales. EPS growth can differ from sales because of rising or falling expenses, an increasing or decreasing number of outstanding common shares and changing tax rates.

Remember, however, that even though a company can grow earnings faster than sales by cutting costs or buying back shares, this can't last forever. EPS growth eventually will drop to the same rate as sales.

You'll use the estimated growth rate for earnings to forecast the earnings per share five years from now. On the second page of the SSG, you'll use the future EPS to determine the stock's potential high price.

A key question to ask yourself is whether the company is growing at a sufficient rate relative to its size. Look for higher growth rates for small companies compared with medium-size and large companies.

Editor's note: The Value Line and Morningstar company and industry reports are available at the website's homepage under the Learning Center tab, BetterInvesting Magazine *section, for your use in conducting stock studies. You'll need Adobe Acrobat software to read the Portable Document Format files.*

2 EVALUATING MANAGEMENT

Company Copart Inc. (CPRT)

		2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	LAST 5 YEAR AVG.	TREND UP	TREND DOWN
A	% Pre-tax Profit on Sales (Net Before Taxes ÷ Sales)	26.5	23.2	29.0	31.2	30.4	31.1	34.5	36.3	41.7	38.3			
B	% Earned on Equity (E/S ÷ Book Value)		23.6	22.4	23.4	51.0	39.6	39.4	41.6	40.2	33.0			

5

3 PRICE-EARNINGS HISTORY as an indicator of the future

This shows how stock prices have fluctuated with earnings and dividends. It is a building block for translating earnings into future stock prices.

PRESENT PRICE _____ HIGH THIS YEAR _____ LOW THIS YEAR _____

	Year	A PRICE HIGH	B PRICE LOW	C Earnings Per Share	D Price Earnings Ratio HIGH A ÷ C	E Price Earnings Ratio LOW B ÷ C	F Dividend Per Share	G % Payout F ÷ C X 100	H % High Yield F ÷ B X 100
1	2018	60.4	30.5	1.73	34.9	17.6	0.00	0.0	0.0
2	2019	79.7	44.6	2.46	32.4	18.1	0.00	0.0	0.0
3	2020	104.9	55.7	2.93	35.8	19.0	0.00	0.0	0.0
4	2021	148.0	93.1	3.90	37.9	23.9	0.00	0.0	0.0
5	2022	161.1	102.2	4.52	35.6	22.6	0.00	0.0	0.0
6	TOTAL								
7	AVERAGE								
8	AVERAGE PRICE EARNINGS RATIO				9 CURRENT PRICE EARNINGS RATIO				

6

4 EVALUATING RISK and REWARD over the next 5 years

Assuming one recession and one business boom every 5 years, calculations are made of how high and how low the stock might sell. The upside-downside ratio is the key to evaluating risk and reward.

A HIGH PRICE — NEXT 5 YEARS

Avg. High P/E _____ (3D7 as adj.) X Estimate High Earnings/Share _____ = Forecast High Price $ _____ (4A1)

7

B LOW PRICE — NEXT 5 YEARS

(a) Avg. Low P/E _____ (3E7 as adj.) X Estimated Low Earnings/Share _____ = $ _____

(b) Avg. Low Price of Last 5 Years = _____ (3B7)

(c) Recent Severe Market Low Price = _____

(d) Price Dividend Will Support Present Divd. / High Yield (H) = _____ = _____

Selected Estimate Low Price _____ = $ _____ (4B1)

8

C ZONING

_____ (4A1) High Forecast Price Minus _____ (4B1) Low Forecast Price Equals _____ (C) Range. 1/3 of Range = _____ (4CD)

(4C2) Lower 25% = (4B1) _____ to _____ (Buy)

(4C3) Middle 50% = _____ to _____ (Maybe)

(4C4) Upper 25% = _____ to _____ (4A1) (Sell)

9

Present Market Price of _____ is in the _____ (4C5) Range

D UP-SIDE DOWN-SIDE RATIO (Potential Gain vs. Risk of Loss)

High Price (4A1) _____ Minus Present Price _____

Present Price _____ Minus Low Price (4B1) _____ = _____ = _____ (4D) To 1

10

E PRICE TARGET (Note: This shows the potential market price appreciation over the next five years in simple interest terms.)

High Price (4A1) _____ = (_____) X 100 = (_____) - 100 = _____ (4E) % Appreciation

Present Market Price _____

5 5-YEAR POTENTIAL

This combines price appreciation with dividend yield to get an estimate of total return. It provides a standard for comparing income and growth stocks.

Note: Results are expressed as a simple rate; use the table below to convert to a compound rate.

A Present Full Year's Dividend $ _____

Present Price of Stock $ _____ = _____ X 100 = _____ (5A) Present Yield or % Returned on Purchase Price

B AVERAGE YIELD OVER NEXT 5 YEARS

Avg. Earnings Per Share Next 5 Years _____ X Avg. % Payout (3G7) _____ = _____ = _____ (5B) %

Present Price $ _____

C ESTIMATED AVERAGE ANNUAL RETURN OVER NEXT FIVE YEARS

5 Year Appreciation Potential (4E) _____ / 5 _____ %

Average Yield (5B) _____ _____ %

Average Total Annual Return Over the Next 5 Years (5C) _____ %

11

Figure 5

Evaluating management. The key to successful investing is finding well-managed companies whose stocks are reasonably priced. The company's historical growth rates provide evidence of good management, as do the numbers in this section.

Pre-tax profit margins represent how much of each sales dollar a company keeps before taxes. We look at pre-tax margins because companies have limited control over their tax rates. Look for stable or growing margins.

Return on equity indicates how well the company manages the money share-holders have invested in the company. Again, look for stable or growing returns.

Figure 6

Price-earnings ratio history. Section 3 includes information you'll use in Sections 4 and 5. Columns D and E detail the high and low P/Es for each of the past five years. You can also see the average P/E for the last five years as well as the current P/E. Information about the dividend yield also is offered.

Figures 7 & 8

Forecasting the high and low prices. The stock's P/E history will inform your judgments about the potential high and low prices. Multiply your predicted high P/E by the high EPS you calculated on the first page to determine the potential high price. Multiplying the expected low P/E by the low EPS (for a growth company, this often is the most recent year's earnings) is one way to predict the future low price.

Figures 9 & 10

Buy-Hold-Sell zones and upside-downside ratio. After calculating the potential high and low prices, you can use the SSG to determine whether the stock is reasonably priced. The upside-downside ratio compares the potential price increase to the potential price drop. Look for stocks that are both in the Buy zone and have an upside-downside ratio of at least 3 to 1; beware of abnormally large or small ratios.

Figure 11

Estimated average annual return over the next five years. In this final section, you'll learn about the stock's potential return over the next five years. This figure includes both the expected return from increases in the stock's price and predicted dividends.

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Mobile Service Likely to Be a Chief Growth Driver for Telecommunications Provider

Charter Communications, Inc.

The hangover that Charter Communications, Inc. (ticker: CHTR) shareholders suffered after the company's "pandemic party" has proven fairly brutal. Charter, a leading telecommunications service provider, got a major boost during the pandemic. Consumers who remained stuck at home signed up in large numbers for broadband and cable TV. The red-hot housing market also helped.

As pandemic conditions eased, however, customers resumed onsite work, got out of the house more often and budgeted less "screen time" — and had less demand for Charter's offerings. The cutting back of telecom-related federal pandemic aid drove a drop-off of low-income subscribers in particular. The Emergency Broadband Benefit Program transitioned into the Affordable Connectivity Program, with tougher eligibility standards.

About 21,000 broadband customers dropped Charter in the second quarter. It reportedly was the company's first-ever decline in high-speed internet subscriber numbers. In contrast, the company had average quarterly gains of approximately 382,000 subscribers over the previous three years.

New Tag. In 2013, Charter introduced Spectrum as the name for its core products and services.

The setback may help explain the drop of more than 50% in Charter's share price over the past 12 months, suggested members of the Editorial Advisory and Securities Review Committee. Despite the slump, Charter has turned in respectable financial results so far this year. The company has reported constrained but positive year-over-year growth in revenues. Growth in quarterly and year-to-date earnings per share proved particularly impressive, helped by aggressive share buybacks (*see table*).

Investor concerns about potential competition from alternative telecom delivery technologies — 5G, fixed wireless, fiber to the home and low-orbit satellites —may also have contributed to the pullback in shares of Charter and other telecoms. Each of the newer delivery systems has advantages and disadvantages. Whether competition from alternative technologies could have adverse effects on Charter's long-term prospects remains arguable, suggest some analysts.

Another issue committee members discussed was the company's relatively high debt load of about $95 billion. They noted, however, that about 87% of the debt has fixed rates, so rising interest rates won't significantly increase near-term debt obligations. Additionally, Charter's strong cash flow can be applied to paying down debt in a measured way.

Debt has been a challenge for the company in the past, however. Charter hit a rough patch early in the century and in 2009 underwent financial restructuring through Chapter 11 bankruptcy. The company reduced its debt by about $8 billion, refinanced other debt and took on about $3 billion in new investment.

One recent development is that Charter is getting a new chief executive. The company recently announced that Christopher Winfrey will become CEO and president in December. Currently serving as chief operating officer, he previously served for more than a decade as chief financial officer.

Thomas M. Rutledge, 68, announced he will retire in December from his role as CEO after 10 years in the position. He's also head of Charter's board and will serve as executive chairman until November 2023.

The stock's $320.27 close reported Oct. 3 was 57.5% below the 52-week high of $753.69 recorded on Oct. 7, 2021. The stock underperformed the S&P 500, which during the same time frame decreased 16.4% to 3,678.43 from a Jan. 4 high of 4,818.62.

The stock's trailing 12-month price-earnings ratio was 10.3 (*see table*); the ratio for the S&P 500 was 19.0.

CSIMarket, a financial data service, reported a TTM P/E ratio average for the broadcasting media and cable TV industry of 19.3. Based on figures Yahoo Finance reported, the ratio average for Charter and three competitors named by Morningstar was 6.2.

For P/E to projected growth, or PEG, Yahoo Finance reported a ratio of 0.3 for Charter based on an average five-year expected earnings growth rate. A range of no more than 1.0 to 1.5 is generally considered desirable.

Editor's note: Charter's third-quarter financial results were released Oct. 28, shortly after press time for this issue.

Communications Breakout

Charter is the country's second-largest provider of broadband services behind Comcast (CMCSA) and third-largest for cable TV behind Comcast and AT&T (T).

Charter Communications, Inc.

	2021 (ended 12/31/21)	2020 (ended 12/31/20)	% change	FY 2022 Q2	FY 2021 Q2	% change	FY 2022 year to date	FY 2021 year to date	% change
Net revenues	$51.7 billion	$48.1 billion	7.5%	$13.6 billion	$12.8 billion	6.2%	$26.8 billion	$25.3 billion	5.8%
Net income*	$4.7 billion	$3.2 billion	46.6%	$1.5 billion	$1.0 billion	44.2%	$2.7 billion	$1.8 billion	46.4%
Diluted EPS*	$24.47	$15.40	58.9%	$8.80	$5.29	66.4%	$15.70	$9.37	67.6%
Dividends	—	—	—	—	—	—	—	—	—

Stock exchange	Nasdaq	Value Line long-term earnings growth estimate	22.5%
Ticker symbol	CHTR	Consensus long-term earnings growth estimate (26 analysts)	28.7%
Price at time of selection	$303.35	FY ended December 2022 consensus EPS growth estimate	35.1%
Past year's price range	$302.94 – $753.69	FY ended December 2023 consensus EPS growth estimate	13.6%
Recent market price	$320.27	Recent price-earnings ratio**	10.3x
Market capitalization	$51.5 billion		

* Excluding nonrecurring and special items.

** The P/E ratio is based on diluted EPS of $31.13 for the four quarters ended June 30.

Sources: Morningstar, Yahoo Finance, Value Line and company reports

Charter operates in 41 states and serves major markets such as New York City, Los Angeles and Dallas. It reported having about 30.2 million customers in fiscal 2021 (ended Dec. 31, 2021). That year Charter's chief source of revenue was high-speed internet service.

The broadband category generated $5.4 billion — 41.1% of total revenues. Cable TV followed with $4.4 billion — 33.3%. Voice — landline telephone service — accounted for $396 million — 3.0%. Together these residential services produced revenues of $1.2 billion — 77.4%.

Other revenue sources were the following:

- **Small and medium business,** $1.1 billion, 8.0%
- **Enterprise,** $0.6 billion, 4.9%
- **Mobile,** $0,6 billion, 4.8%
- **Advertising,** $0.4 billion, 3.4%
- **Other,** $0.2 billion, 1.6%

Since the pioneering era of cable television in the late 1940s, the industry has undergone significant consolidation. Charter's track record of growth reflects that history.

In 1980 Charles H. Leonard founded predecessor company Charter Communications CATV in southwestern Michigan, near Grand Rapids. A string of mergers, acquisitions and corporate partnerships followed.

Charter took on its current form and name in 1993 and established headquarters in St. Louis, Missouri. The company continued its rapid growth through acquisitions and in 1999 first issued publicly traded stock. In 2013 Charter introduced Spectrum, the brand name for its core products and services.

In May 2016 Charter leapfrogged into the position as the nation's third-largest pay TV operator through the largest deals in its history: acquisition of Time Warner Cable and sister company Bright House Networks.

The companies' history together was convoluted. Charter made three unsuccessful attempts to combine with its larger rival before expressing renewed interest in 2014.

In February that year, however, Time Warner Cable agreed to be acquired by Comcast, forestalling a hostile takeover by Charter.

The corporations then negotiated a complex arrangement under which they would swap clumps of customers to smooth out their service territories, with Charter acquiring 1.4 million of the other corporations' subscribers. Comcast would spin off a new company in which Charter would be a major shareholder, with an option eventually to purchase the entire concern.

The arrangement fell apart when Comcast encountered government antitrust objections and canceled the acquisition in April 2015. The following month Charter and Time Warner Cable announced they would merge in a cash-and-stock deal valued at $78.7 billion.

The Bright House acquisition also went forward and was valued at $10.4 billion.

Competitors include Altice USA (ATUS), Lumen Technologies (LUMN) and Verizon Communications (VZ), Morningstar reported.

Mobile Momentum

Just as in the 1971 song by the British rock band The Who, Charter is "going mobile." The company launched its Spectrum Mobile service in 2018. Mobile accounted for almost 5% of total revenues in 2021, versus 3.4% the year before.

Serving owners of mobile devices is expected to be a significant long-term growth driver for the company.

In 2017 management announced a four-year, $25 billion plan to invest in broadband infrastructure and technology.

Improvements have continued: In 2021 Charter announced a similar ini-

tiative to further expand broadband availability. Increasing the company's presence in rural areas is a management priority.

Charter participates in the federal Rural Digital Opportunity Fund and other government programs designated for rural network buildout.

In 2012 the corporation moved its headquarters to Stamford, Connecticut, from St. Louis. In June management opened a new, larger headquarters in downtown Stamford. The construction project cost just over $500 million.

> "Charter is the country's second-largest provider of broadband services behind Comcast (CMCSA) and third-largest for cable TV behind Comcast and AT&T (T)."

Final Notes

BetterInvesting Magazine hasn't previously profiled Charter as either a Stock to Study or Undervalued Company. However, in the November issue the corporation was featured, in "Discussion & Analysis: Random Walk" (*Pages 38-39*). The company didn't appear in the Top 100 survey of investment club holdings for 2021 (*see the April 2022 issue*).

The company doesn't offer a direct stock purchase plan. Charter shares haven't undergone any stock splits to date. The company doesn't pay a cash dividend. Aggressive share repurchasing remains a management priority. The share total has fallen annually since 2016 for an approximately 36% five-year decline, Value Line reported. In 2021 Charter repurchased 25.3 million shares of its class A stock valued at about $17.3 billion. The pace of buybacks stayed about the same through the first half of 2022.

More background on Charter and its industry, including the Value Line analyst and Value Line industry reports, can be found in the magazine section of the website. For more information contact Investor Relations, Charter Communications, Inc., 400 Washington Blvd., Stamford, CT 06902-6641. B

Websites of Interest

Charter Communications, Inc.
https://corporate.charter.com

The Internet and Television Association
www.ncta.com/

— Reporting by contributing editor Kevin J. Lamiman

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Chicago Corporation Wants to Provide Products for EV Charging Infrastructure

Littelfuse: a Circuit Protector for the Portfolio

by Cy Lynch

Portfolio Overview

Reviewing Historical Stock and Portfolio Returns

The model portfolio's relative return since it began in October 2006 is 2.0% versus our goal of 5.0%, based on its annualized total return of 10.1% compared to 8.1% for the stock market represented by the Vanguard Total Stock Market exchange-traded fund (ticker: VTI). The percentage of selections outperforming the stock market decreased again to 46.4%, short of our goal range of 50%-55%.

Reviewing Fundamental Projections in Light of Latest Financial Reports

Nine of the 30 companies in the portfolio issued new financial reports. On the positive side, Axos Financial (AX) and NetEase (NTES) performed in line with expectations, while Installed Building Products (IBP) reported sales and EPS well above our projections.

EPAM Systems (EPAM) reported revenues greater than expected, though earnings per share fell significantly as expected, due mostly to extra costs incurred due to Russia's invasion of Ukraine. Maximus (MMS) also experienced an expected significant drop in EPS, along with a small decline in revenues. In MMS's case, the drops were caused by coming off pandemic driving high margin emergency services to government health programs.

The remaining companies reported mixed results, though none particularly concerning right now. FedEx (FDX) reported sales growth just under our projection, while EPS fell. These aren't unexpected in the current business and economic environment and long-term prospects are strong. Similarly, Genpact (G) reported sales in line with my projection and declining EPS based on generally accepted accounting principles (GAAP). Non-GAAP EPS increased.

IIVI, Inc. changed its name to Coherent, with the new ticker symbol COHR. The company also reported sales a bit under our projection while EPS declined substantially. TJX Companies (TJX) reported EPS just below our projected rate of increase while sales fell slightly. We will monitor both companies going forward.

The portfolio's overall projected sales growth is 10.5% (*see graphic*), above our goal of at least 10%. Value Line's "Median Price Appreciation Potential" (VLMAP) over the next three to five years for its standard edition stocks continued to increase, to a nominal 85% (16.6% annualized). The minimum target return for the model portfolio is 21.6%, five percentage points over the expected market return. Projected overall total return for the model portfolio is 22.0%, above our target.

Growth Through Connectivity and Electricity

This month's feature, Littelfuse, Inc. (LFUS), founded in 1927, is headquartered in Chicago and describes itself as an industrial technology manufacturing company empowering a sustainable, connected and safer world. The company offers circuit protection devices (such as fuses and relays) worldwide, with 17,000 global associates in more than 15 countries.

Serving over 100,000 end customers, its products are found in a variety of industrial, transportation, telecommunications and consumer electronics end markets. Littelfuse seeks expansion in its power semiconductor business and is breaking into electric vehicle charging infrastructure. Value Line notes that foreign sales accounted for 69% of the 2021 total.

> **"Littelfuse's historical sales, pretax profits and EPS have increased relatively consistently over the last 10 years."**

The company is somewhat sensitive to the business cycles of industrial companies and foreign currency fluctuations. Even so, its historical sales, pretax profits and EPS have increased relatively consistently over the last 10 years with a couple of hiccups in 2015 and 2019-2020. Over this time frame sales growth averaged 12.0% and EPS increased an average of 13.5%.

Given LFUS's moderate cyclicality, I will alter my usual practice and project future sales and EPS starting at the end of the historical trendline rather than the latest quarter.

I project sales to grow an average of 12% over the next five years, a bit above the rate projected by Value Line and Morningstar analysts (although they have different start points than I do). As you can see in my Stock Selection Guide (available online) my projection and that of Morningstar converge by around 2024.

Over the last 10 years, pretax profit margins have remained about the same at around 15.0% in 2012 and ending with 16.4% in 2021. During that time, they varied significantly, ranging from a low of 11.0% to a high of 16.7%. Consistent with my starting growth at the trend line, I will

use the five-year average of 13.4% as my projection over the next five years. I find Value Line's projected income tax rate of 20% to be reasonable and will use it as my projection five years out.

Diluted shares outstanding have remained relatively steady the past 10 years, increasing slightly from 22.1 million in 2012 to 24.9 million at the end of 2021. I'll use the currently outstanding diluted shares of 29 as my projection for five years out.

These projections (started at the end of the historical trend line) lead to earnings per share of $14.79 in 2026.

I will use a projected high price-earnings ratio of 36x, just a little less than the five-year median high P/E.

Combining these judgments lead to a forecast high price of $532.60 and potential compound annual return (using high P/E) of 21.9%, including a projected dividend yield of 0.8%.

Investing our regular $1,000 in LFUS leaves our portfolio projected sales growth at 10.5%. Portfolio projected total return also remains the same at 22%.

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Littelfuse Seeks to Expand Its Power Semiconductor Business

Stock	9/29/2022 value	% of portfolio before Littelfuse	% of portfolio after Littelfuse	Proj. sales growth	Proj. total return	Hist. return relative to market
NetEase.com, Inc.	$8,803.28	5.5%	5.5%	15.0%	31.0%	575.5%
MKS Instruments (purchased 7/29/21)	549.32	0.3	0.3	12.0	30.6	(25.1)
MKS Instruments (purchased 3/8/22)	5,631.26	3.5	3.5	12.0	30.6	(27.4)
Lam Research Corp. (purchased 1/4/22)	520.44	0.3	0.3	14.0	30.3	(23.0)
Lam Research Corp. (purchased 3/8/22)	3,591.52	2.2	2.2	14.0	30.3	(11.1)
Maximus, Inc.	5,294.73	3.3	3.3	12.0	29.1	(32.4)
Skechers (purchased 3/12/20)	1,335.68	0.8	0.8	12.0	28.5	(14.5)
Skechers (purchased 3/8/22)	4,375.62	2.7	2.7	12.0	28.5	5.4
Axos Financial	760.99	0.5	0.5	13.5	27.6	(9.1)
Installed Building Products, Inc.	8,832.22	5.5	5.5	13.0	27.0	(2.5)
FedEx Corp.	672.42	0.4	0.4	7.0	26.9	(12.2)
First American Financial	5,858.53	3.7	3.6	7.0	26.3	(4.6)
T. Rowe Price	1,565.91	1.0	1.0	9.0	25.9	(38.4)
Coherent/II-VI, Inc. (purchased 12/5/18)	997.75	0.6	0.6	14.0	25.2	(36.9)
Coherent/II-VI, Inc. (purchased 10/10/19)	6,324.54	4.0	3.9	14.0	25.2	(13.6)
Alphabet (Google)	4,462.67	2.8	2.8	18.0	25.1	210.4
C.H. Robinson (purchased 5/31/13)	2,089.97	1.3	1.3	6.0	24.4	(40.1)
C.H. Robinson (purchased 6/30/14)	3,211.94	2.0	2.0	6.0	24.4	(21.4)
C.H. Robinson (purchased 7/6/15)	5,099.85	3.2	3.2	6.0	24.4	(7.6)
Starbucks Corp.	6,849.03	4.3	4.3	9.0	23.6	(1.0)
Cognizant (purchased 6/3/08)	3,500.00	2.2	2.2	7.0	22.2	12.9
Cognizant (purchased 8/6/10)	2,619.61	1.6	1.6	7.0	22.2	(110.0)
Gentex Corp. (purchased 9/5/14)	3,080.30	1.9	1.9	10.0	21.9	(9.6)
Gentex Corp. (purchased 7/6/15)	4,661.71	2.9	2.9	10.0	21.9	(23.1)
LKQ Corp.	4,657.64	2.9	2.9	9.0	18.4	(5.9)
Regeneron Pharmaceuticals	1,469.99	0.9	0.9	9.0	18.3	57.3
AbbVie, Inc. (purchased 7/31/20)	10,536.98	6.6	6.6	11.0	17.9	40.0
AbbVie, Inc. (purchased 10/9/20)	3,423.86	2.1	2.1	11.0	17.9	18.1
Genpact Limited	1,067.21	0.7	0.7	9.0	17.9	13.2
Bristol-Myers Squibb	3,060.54	1.9	1.9	8.0	17.2	21.2
Fastenal	5,274.85	3.3	3.3	9.0	16.5	76.0
Booking Holdings, Inc. (purchased 8/31/18)	860.30	0.5	0.5	14.0	16.4	(40.6)
Booking Holdings, Inc. (purchased 4/15/19)	3,929.25	2.5	2.4	14.0	16.4	(34.9)
MSC Industrial Direct	1,266.94	0.8	0.8	7.0	16.1	(111.3)
Texas Roadhouse, Inc.	1,237.56	0.8	0.8	13.0	15.9	30.2
CVS Health Corp. (purchased 7/27/16)	6,645.35	4.2	4.1	8.0	15.7	(60.4)
CVS Health Corp. (purchased 2/7/18)	5,766.15	3.6	3.6	8.0	15.7	1.6
TJX Companies, Inc.	6,384.22	4.0	4.0	9.0	15.1	32.0
Elevance Health (Anthem)	6,839.20	4.3	4.3	8.0	14.1	344.0
EPAM Systems, Inc.	1,905.15	1.2	1.2	15.0	13.6	36.5
First Financial Bankshares	4,617.23	2.9	2.9	9.0	13.5	20.4
Totals before transactions	**159,631.72**			**10.5**	**22.0**	
Littelfuse, Inc.	1,000.00		0.6	12.0	21.9	
Portfolio Totals after Transactions	**160,631.72**			**10.5**	**22.0**	

When It Comes to Growing Money, Time Is on Your Side

The Power of Starting Now

by Craig L. Israelsen, Ph.D.

Perhaps the most important aspect of investing is time. While it's important to focus on appropriate investments, if we delay investing we likely won't achieve our goals.

Now Is the Time

This issue is quite straightforward. Starting to invest in the workplace sooner is far better than starting later, particularly if we're talking about saving for retirement. There's a bunch of fancy math that proves all this, but I think the table of various scenarios shown at the bottom of the page pretty much nails it.

If you start saving (i.e., investing) 6% of your annual income each year beginning at the age of 25 (assuming you are earning $35,000 and that your income increases by 3% each year), you'll have a bit over half a million dollars in your retirement investment portfolio when you reach the age of 65 (assuming you earned a 6% investment return each year — on average). That is a great achievement. But even if you can only save 3% of your income right now, great! The goal is to simply do the best we can at every age.

If you're able to invest 10% of your income starting at age 25 in a portfolio that earns an average annual return of 10% you could have over $2.3 million 40 years later. But, if you wait until you're 45, you'll have less than $500,000 in your portfolio. Start now and invest as much as you feasibly can.

Upping the Ante

You may have noticed something very interesting in the table. If your annual savings rate goes from 8% to 10%, that's a 25% increase. Likewise, if your investment portfolio return goes from 8% to 10%, that's also a 25% increase. But your account value at age 65 goes up by more than 100% (from $1,116,611 to $2,309,847), assuming you started investing at age 25. That's the power of saving more money combined with the magic of compounding at higher rates of return.

For Late Bloomers

Even if you start your investment portfolio later in life, there is still a great benefit from investing more each year. In fact, if you're already over the age of 45, your annual investments (the amount you contribute to your investment account each year) can have a greater impact on your ending portfolio balance than attempting to earn a higher portfolio return. So, rather than increasing the risk of your portfolio in hopes of getting a higher return — simply invest more money into your portfolio if possible.

Here is the important thing to remember: The longer you invest the more likely you will experience a positive return. Stay in the saddle for at least 10 years and you'll very likely have a positive experience — particularly if you build a diversified investment portfolio with a variety of types of mutual funds or exchange traded funds (ETFs). In fact, over the past 50 years a diversified portfolio of stocks, bonds, real estate, commodities and cash produced a positive calendar-year return 86% of the time.

Retirement Portfolio Value at Age 65

(Assuming a 3% Increase in Annual Income)

Starting Investing at …	6% Savings Rate & 6% Portfolio Return	8% Savings Rate & 8% Portfolio Return	10% Savings Rate & 10% Portfolio Return
Age 25, $35,000 Annual Income	$521,157	$1,116,611	$2,309,847
Age 35, $47,037 Annual Income	330,690	620,605	1,110,367
Age 45, $63,214 Annual Income	187,756	311,845	488,872

Source: Calculations by author

The Diversified Portfolio

On that note, building a diversified investment portfolio would require a mutual fund that focuses on large U.S. stocks, another fund that targets small U.S. stocks, another that invests in non-U.S. stocks, a mutual fund that invests in bonds, one that focuses on real estate investments (*see Page 34*) and another that invests in either natural resources or commodities.

Finally, you'll want to keep some of your investment dollars "liquid" — and that's where the "cash" asset class comes in. Cash is a fancy term for a traditional savings account or money market account.

If you want to simplify the process of starting your investment portfolio you might consider a single diversified mutual fund such as the Vanguard STAR fund (ticker: VGSTX) or the Fidelity Puritan fund (FPURX). Both funds adhere to a mix of roughly 60% stocks and 40% bonds.

In addition to getting started it's also helpful, and very important, to remember the "why" of investing:

> **"Over the past 50 years, a diversified portfolio of stocks, bonds, real estate, commodities and cash produced a positive return 86% of the time."**

- **to be a wise steward** of **your resources** and to prepare for future needs and goals.
- **to grow your talents** and abilities by setting financial goals and sticking to them.

After you have chosen your mutual fund(s) and have initiated an automatic investing program, turn your attention to other important parts of your life. Care for the physical, emotional, social and spiritual needs of yourself and those around you. Money is a means to achieve goals, not an end in itself. Use financial resources to facilitate life experiences with others as well as meaningful service opportunities. Those of us with gray hair have learned that memories last far longer than things. Remember that money is a magnifier — of our virtues and vices. Seek to have your money magnify your virtues.

Lastly, teach someone else what you have learned about investing… and life.

Craig L. Israelsen, Ph.D., teaches in the Financial Planning Program at Utah Valley University. He is the developer of the 7Twelve® Portfolio.

He can be reached at:
craig@7TwelvePortfolio.com

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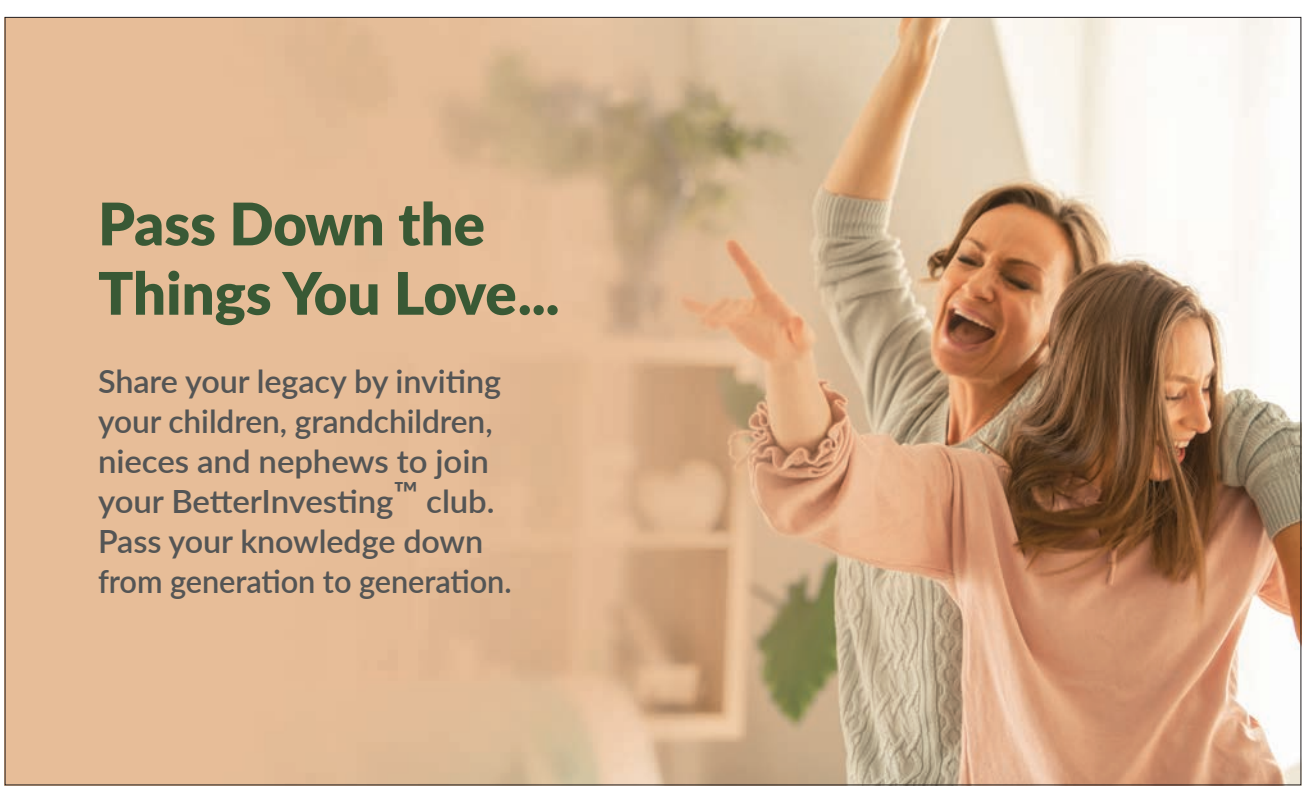

Funds May Bundle REITs, Real Estate Stocks or Indices — or All 3

Reasons to Consider Real Estate Mutual Funds

by Jeffrey Steele

For the right kind of investor, the idea of investing in real estate mutual funds can make a great deal of sense. Such an investor, for instance, might well be a younger individual interested in getting started in real estate investing, but lacking the resources to actually purchase physical properties, either within the commercial or residential spheres.

He or she might value the notion of the diversification that comes with owning a basket of real estate holdings, as opposed to the nondiversification of possessing a single physical real estate asset. And he or she might also jump at the chance to enjoy the role of a passive investor, freed from the need to actively manage a real estate holding experienced by, say, owners of apartment buildings or multi-story office buildings.

"Real estate mutual funds are merely mutual funds that invest in a basket of real estate investment trusts (REITs), real estate stocks or real estate indices, or a combination of them all," said Daniel Milan, an investment adviser and managing partner in the financial planning firm Cornerstone Financial Services, based in Southfield, Michigan.

"Every real estate mutual fund will have its own investment criteria, investment thesis and portfolio restrictions," he continued. "They could be thematic, unconstrained, highly diversified, focused on certain sectors [and so on]. It's important to understand exactly the kind of real estate that the fund will invest in."

For the most part, real estate funds are available to all investors whose resources allow them to conform to the minimum investment requirement thresholds. Such funds can be bought through online brokerages or, more commonly, through financial advisers.

REITs Differ

There are a number of similarities between real estate investment trusts (REITs) and real estate mutual funds. Qualities common to both include the following: They invest in a wide array of real estate sectors, including industrial real estate, warehouses, data centers, retail centers and office buildings. In both, investors' moneys are pooled to purchase real estate holdings, with the investors owning shares and earning income.

In addition, both REITs and real estate mutual funds provide a cost-effective means for individual investors to make investments in the real estate market.

They each deliver great variety because there are broad varieties of REITs and mutual funds from which to choose. With both there also exists opportunity to enjoy a far more liquid investment than one where money would be invested directly in real estate.

There are significant differences between the two as well, however. One of the most important is that REITs are investments that trade like stocks or exchange-traded funds over an exchange. By contrast, real estate mutual funds invest in what the public real estate companies offer. The taxable income of a REIT comes in the form of dividends to shareholders and those shareholders are obligated to pay taxes on the dividends.

Real estate mutual funds mimic traditional mutual funds, appreciating in value over time as their underlying assets gain in value, said Andrew Lokenauth, who often advises on the differences between REITs and real estate mutual funds, and who has worked in roles from vice president to director of finance for Fortune 500 firms that include Goldman Sachs, AIG and Signature Bank.

Added Upsides

As we've explained, real estate mutual funds offer a number of benefits, including diversification, lower investment thresholds and the opportunity to reap passive income. Let's now look at some of the additional upsides, as well as a few of the negatives.

Expertise. Real estate mutual funds benefit from the experience and expertise of portfolio managers, who free fund buyers from the need to research the merits of individual real estate holdings. The portfolio manager is paid to purchase and sell individual holdings that comprise the fund, helping make sure the real estate mutual fund remains in proper balance and continues generating expected levels of returns.

Liquidity. By and large, investors in real estate mutual funds can readily purchase and sell them. That enables investors to take the profits well-managed funds can throw off. As long as demand exists for an investor's shares, he or she can sell them.

Noncorrelation. Many people invest in the equity markets via purchases of mutual funds. But as we've seen this year, the stock market can be subject to enormous volatility, as well as significant reduction in value. Real estate, and by extension, real estate funds, offer a way to invest without subjecting your assets to some of these concerns.

"Real estate is an important element of any well-diversified portfolio," said Matthew Martinez, with Diamond Real Estate Group in Santa Rosa, California. "Not only is it a good way to insulate yourself against volatility in the stock market, but it can provide a steady stream of income in retirement."

John Koch, senior investment analyst at iSectors,

agreed, noting it provides diversification beyond traditional stock and bond mutual funds incorporated within many retirement and 401(k) plans. "In fact, very often I have seen retirement plans where the only investment options are equity mutual funds or bond mutual funds," Koch said.

"If an investor truly wishes to be diversified and at least somewhat prepared to weather a storm that might come in a market downturn, including an alternative investment option in your portfolio such as real estate mutual funds, which can provide a return stream different from both stocks and bonds, is crucial."

Inflation protection. Over time, inflation can erode value in an individual's retirement assets. Just as stock market investing can help protect against inflation, so too can investing in real estate mutual funds.

"As property prices and rents increase during inflation, it can lead to a rise in the value of real estate, too," said Jeff Tricoli, who leads Tricoli Team Real Estate-Keller Williams in Lake Worth, Florida. "Eventually, it can increase the overall value of real estate mutual funds [and] work as a shield against inflation."

Consistent income. Real estate mutual funds that invest in rental properties provide the additional advantage of reliable, consistent monthly income from those properties, said David Tully, with eXp Realty in Reno, Nevada. The regularity of such income streams can be comforting, for instance, to retirees on fixed incomes.

Potential pitfalls

It's worth noting that for all the upsides of real estate mutual funds, they are not without their potential downsides. These can range from hidden charges to negative tax surprises to a lack of control over what is bought and sold.

Hidden fees. It's always a good idea to know the charges and fees you're paying as part of your investing and investing in real estate mutual funds is no exception. Excessive sales charges, hidden fees, loads, redemption fees and charges associated with turnover of underlying assets are likely to erode your gains over time.

Passive investing. As is the case with any actively managed mutual fund, you turn over control to the fund manager to determine what is and isn't part of the underlying holdings. In other words, you have no control other than to buy or not buy the mutual funds. For more control, you'd have to invest in the underlying fund holdings directly.

Unanticipated taxes. Year-end distributions can result from mutual fund managers selling the holdings in the fund. These may be viewed by the Internal Revenue Service as taxable events, leading to you being taxed at ordinary income rates or capital gains rates. The outcome may deliver an unpleasant surprise in the form of a tax bill you didn't count upon.

Actively Managed Versus Indexing

As is the case with other types of mutual funds, real estate mutual funds can be grouped into actively managed and index funds. And as with, say, equity mutual funds, investors need to understand benefits and drawbacks of each.

Real estate is a complicated asset class, said Brian Greenberg, CEO of Scottsdale, Arizona-based, Insurist. The way real estate performs depends on a great many factors, which aren't easy to model and often not predictable. "Active managers must make a lot of assumptions about how the market will perform over the long term, and those assumptions are often wrong," he added. "This means active managers need to be able to constantly adjust their portfolios in order to keep up with changes in the market, which requires keeping track of a lot of information and being able to make quick decisions. Index funds just buy shares in all of the companies listed on an index, so there's no need for them to constantly monitor anything."

That said, active management has proven to have worth in the universe of real estate mutual funds, Koch observed. The level of fees the mutual fund charges must be considered, as must whether they're worth paying for potential outperformance. "If you are willing to research and search through the management teams of real estate funds and analyze their track records, it may be worth it," he said.

"But if you are not willing to give up the extra time — which is a cost in itself — along with the explicit cost of higher management fees, an index-based mutual fund will most likely include all the big companies would need (in order) to have real estate stock exposure."

Today, the biggest changes to real estate mutual funds are coming in ETFS rather than the traditional open-ended mutual fund area, Koch said. "Semi-transparent ETFs are beginning to launch in the real estate universe that could give ETF investors exposure to strategies they may not have been able to access before," he added.

The bottom line on real estate mutual funds is this: As we've pointed out, there are distinct upsides and downsides to these investments. They may be appropriate for one individual, but not for another. Only by conducting your own serious due diligence can you determine whether they are the right investment for your portfolio — and your future.

Funds mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Funds discussed may be held by the writer in his personal portfolio or those of his clients.

In a Bear Market, Investors May Indulge in a Tiny Bit of Speculation

Quality Is Usually King

by Craig Braemer, CFA®, CFP®

The BetterInvesting world typically focuses on evaluating management using Sections One and Two of the Stock Selection Guide. This can potentially lead to high quality growth companies that, hopefully, build wealth. We take into consideration these key issues of company growth and profitability to determine if we have found a new quality stock for comparing its valuation, too. But in a bear market, it might make sense to take advantage of depressed stock prices in order to invest speculatively and ignore quality analysis with a small or minimal portion of your investment portfolio.

Have You Ever Looked at the Biggest Winners List Following a Bear Market and Wished You Owned One?

In 2022, we had a market sell-off similar to previous bear markets based on price movement. During the market recovery in the aftermath of past bear markets, there are lists prepared that recap the past year. These lists show stocks that have jumped 100% to 1,000% or more. Have you ever wondered how you might be able to find a company on these lists? It;s possible, but the investment process, meaning the kinds of companies to be considered and when you will invest in them, will be different than you would use for your core investment strategies and portfolio.

In our view, the questions investors should ask are: Do they have the time to do the research? The temperament for large stock price swings and potential failures? The talent to find prospective winners? And the energy to do the analysis necessary to speculate? If not, then just focus on your core portfolio.

After the tech bubble burst in 2000 and the subsequent market recovery, I would see these lists and it was always amazing to observe the percentage gains. I did some research and my conclusion was that at the next bear market, which was in 2008, to get similar results I had to invest differently from my core investment strategies. I also called this speculation. In addition, this analysis showed potential large gain in a short time period. Small investments relative to your portfolio are key because the potential percentage loss could be large — possibly 100% loss — due to speculation being riskier than normal investing. During the 2008-09 bear market, this idea was tested and I thought it worked well and decided I would try it at the next bear market. We are in the next bear market now, so this concept should be timely.

In BetterInvesting (BI) we talk about investing not speculating. However, I recently heard several speakers at the 2022 BetterInvesting National Conference share comments about speculating. The presenters had similar thought processes about if it made sense to speculate (at the end of June) because of the severely depressed stock prices due to the bear market. Their comments became the seeds of this article.

The Ground Rules

Speculation is defined as an investment in the hope of a gain but with the risk of loss (*see Websites of Interest*). This sounds like every investment to me. My personal definition of speculation is to take an above average risk to generate an above average return. When looking to speculate, focus on the most beaten-up areas of the market. In many cases, those areas could include both high- and low-quality companies. This is because the market or sector is being mispriced in the short term out of fear in a bear market. This fear is tied to the economy's impact on these companies — including potential layoffs, business losses and concern over a bankruptcy. Speculation could potentially be in your favor near the end of a bear market. We believe timing the end of a bear market is always difficult. Thus, buying throughout a bear market could conceivably enhance your chances of success but there are no guarantees of this outcome.

You can have different investment strategies within an overall portfolio, but my belief is that these strategies generally use the BetterInvesting concepts as a guide. Over the years, I have tried a number of different investment strategies. In the end, the concept of quality, as we define it, purchased at a reasonable price has become my primary investment concept. When you decide to speculate, try it with a small portion of 5% or less of your portfolio. That way if it drops to zero, you would be disappointed, but it would not crush you financially.

What Is Quality as Defined by BetterInvesting?

Historically, BI has focused on two key investment concepts, the first is looking for growth companies and the second is looking for quality companies. After we believe we have found a quality company, we should look at buying that company at a reasonable price. Furthermore, we define quality as Evaluating Management, or Section Two of the Stock Selection Guide (SSG). Within that section, we look at two valuation measures and one balance sheet for leverage measure.

The two valuation measures are "Pretax Profit on Sales" (how profitable is this company for that time period?) and "Percent Earned on Equity" (how well do they manage their assets?). These ratios are important because they show the past financial success of companies. Historically, more successful companies are typically

strong in both ratios, plus they should show improvement over time. Also, there is a balance sheet measure that looks at Percent Debt to Total Capital. Logically, a lower ratio is typically better and BI feels that keeping this ratio below 33% reduces the risk of balance sheet concerns by Wall Street. For most investors and their core investments, following quality as previously defined, makes sense. It doesn't mean we won't make mistakes but it seems to improve our odds. Finally, part of a quality company is that it grows over time, thus Section One of the SSG is key to seeing if a stock has been growing. If it's not growing over time, you should ask yourself is this the right investment for your portfolio?

What Type of Speculation Am I Talking About?

Focus on lower quality companies versus our normal higher quality companies. The markets tend to punish these companies worse in a bear market because few people are following the companies and they fear the future. They are also probably not as profitable and they could have a leveraged balance sheet — both are issues for long-term ownership. Lower quality companies are easier to find, but they have more long-term risk. This is the reason why you have to trade more. At some point during the bear market, these lower quality companies typically get mispriced and investors will price them as if they are going out of business. If the companies do not go out of business, these mispriced companies tend to snap back faster than the market. Investors can do even better if the company is also showing signs of revival.

Consider buying at least three or more companies to diversify your risk. The more choices you make, the more chances of finding these rebounding stocks. To analyze these companies, focus on their balance sheet and cash flow statements. The SSG will not be as helpful in this phase. Focus instead on how far the stock price has fallen. Consider looking at companies that are 75% or more below their high price. In many cases, these stocks are trading for less than $10 per share, enabling you to buy several of them. Remember a $1 move on a $5 stock price is a 20% price change. A $5 price move on a $5 stock is a 100% move. You don't need a big price move to make good money. With speculation, the focus is not on high quality companies, thus we probably will have to trade them more. Profitable companies would be preferred, but not required for this type of speculation.

On the valuation side, looking for low price-to-sales valuations (price/sales per share) relative to the company's past can be useful. The cash flow statement is key to understanding the company's potential to survive. Finally, we believe the time to invest is not only when the stock market is acting its worst, but also when there are signs that the economy might recover soon. Some of those signs could be the Federal Reserve considering lowering interest rates, stimulus packages being entertained by Congress, or companies announcing either new hiring or stock buyback programs. Once investors feel the economy could be improving, these stocks can potentially snap back quickly, so you must be prepared to act quickly. While the odds are in your favor when you are at the bottom of a bear market, the signs can be hard to identify. No one blows a whistle at the bottom as a signal. Listen for comments by investors you respect about how cheap things are getting, that they are finding lots of great companies, and maybe even management is buying their own stock as indicators that the stock market could be getting close to starting to recover.

Why Should I Not Spend All of My Time Speculating With All of My Money?

Speculation is risky. During normal markets you do not get the chance for these large snap-back rallies that happen in the beginning of a market recovery. Second, we might not be at a market bottom or the company selected could continue to do poorly. This could wipe you out financially if you invested all or a large chunk of your money. These are not quality companies; they might not have earnings or a solid balance sheet to fall back on. You need to own several companies when you are speculating to diversify your risk. In many cases, Wall Street is not talking about or looking at them. But some of these companies could do very well in the recovery phase. In short, it's best that the rest of your portfolio focus on quality, meaning those companies that can stand the test of time.

The Between the Lines Summary

To speculate is taking an above average risk to generate an above average return. Using a small portion of your portfolio to speculate, hopefully near the end of a bear market, could potentially be a rewarding concept. This is not a normal BetterInvesting thought process, though it can be done in conjunction with your normal quality investing process. Speculating could also potentially lead to a complete loss if you decide to pursue this strategy, but you might find a company on one of those outstanding return lists a year out from the bear market bottom. B

Websites of Interest

"Speculation," Oxford Languages Dictionary
https://bit.ly/3S2CgJy

Craig Braemer, CFA®, CFP®, is an experienced financial manager with over 35 years in the financial services industry. He is currently a portfolio manager at Blossom Wealth Management LLC, a Registered Investment Adviser in Alamo, California. He is also an active teacher for BetterInvesting at both the national and local levels.

Buying Value Stocks Requires Diligent Work, Drawing Your Own Conclusions

Thoughtful Arrogance

by Vitaliy N. Katsenelson, CFA®, CIO of Investment Management Associates

This article from Vitaliy Katsenelson includes discussion of assets mentioned only for educational purposes; no investment recommendations are intended. For more articles, go to Vitaliy's Contrarian Edge website (www.contrarianedge.com). You can sign up at the site to receive articles by email.

Volatility can be both a feature and a bug of investing. Value investors attempt to treat it as a feature. We try to take advantage of the exuberance of the upswing and the pessimism of the downswing. I use the words attempt and try because though this approach sounds great in theory, reality proves to be a lot more challenging. This gap between theory and practice is created because volatility doesn't waltz in a vacuum.

Upswings are accompanied by optimism and positive news, or at least the positive spin the crowd puts on the news — this pushes a stock up. Downswings don't happen in a vacuum, either; they are accompanied and usually driven by negative news, which results in Mr. Market marking down the value of your initial investment. Fear sets in. What if Mr. Market is right? What if this new news and the army of commentators on CNBC are right?

As the great American philosopher Mike Tyson said, "Everyone has a plan until they get punched in the mouth." Theory gives you the game plan (buy more when the stock is down), but then the market punches you in the mouth.

Our ultimate goal is to narrow the gap between theory and practice and take advantage of volatility. We do this through thoughtful arrogance.

Let me explain.

Investing is an act of arrogance. You are basically saying, "I am right and the person on the other side of the transaction, who is buying a stock from me or selling it to me, is wrong." Value investing takes that arrogance to an even greater extreme, as you are often buying unloved, if not hated, stocks.

Of Everyday Arrogance

However, arrogance comes in different forms. Plain vanilla arrogance is very dangerous in investing.

Softbank CEO Masayoshi Son built Softbank out of nothing. He is one of the richest people in Japan, he is a visionary, and he has had one of the best multi-decade investment track records. (I wrote about him when we bought Softbank a long time ago.) *(For more on this, see January/February 2020 of this magazine, Page 36.)*

However, today his Vision Funds are at the tip of the spear of dotcom 2.0 as it shatters against the rock-hard wall of economic reality, losing his investors tens of billions of dollars this year. Mr. Son is solely responsible for it.

He recently admitted, "When we were turning out big profits, I became somewhat delirious." Success went to his head. He started thinking that he had the Midas touch. This is why temperament is so important in investing: We are our own biggest enemy.

Well-Grounded Arrogance

And then there is thoughtful arrogance. This arrogance requires amnesia of your past successes and failures; it is earned with your current sweat, through thorough research. Your research leads you to conclusions that often disagree but sometimes agree with the prevailing trends in the market. Arrogance — belief in your process and research — allows you to follow through on your conclusions, even if the market scorns them.

This is how we try to close the gap between theory and practice created by volatility. We continuously build and update our financial models, talk to companies and their competitors and to industry insiders, do a lot of reading, and debate companies with our peers. We have to keep earning the right to be thoughtfully arrogant through our hard work. When time passes, facts change, and new information comes out, we have to have the flexibility to change our minds. (I did this with Softbank when we sold it a few years ago.)

When you are making thoughtfully arrogant decisions, you are ignoring both what the crowd thinks and, just as important, your past successes. You are arrogant (I am paraphrasing Seneca here) because through your research you have discovered the truth (what the company is worth) before time did.

For example, our Uber investment required a lot of thoughtful arrogance. We endeavor to practice it daily, in every investment decision made.

I plead with you again: Earn thoughtful arrogance through your own sweat and research. It cannot be acquired through reading my articles. I am sharing this with you not to provide you with fish but to teach you how to fish.

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Slow and Steady Still Wins

Why the Lesson of the Tortoise and the Hare Applies to Investing

by Jordan Chussler

Decades-high inflation is eroding the dollar's purchasing power. As a result, the Federal Reserve is hiking benchmark interest rates at a historic pace in an attempt to combat it. With the flow of cheap money cut off from Wall Street, the market's spent much of 2022 in correction territory.

Investors need to know where to look in order to hedge against inflation and the central bank's efforts to subdue it, this year, next year or at any point in the future.

It's a challenge to try to beat the S&P 500.

The average equity firm fund manager can't beat the index, no matter how many millions (or billions) of assets the fund has under management. Fund managers have a paltry average annual return of just 4.25%. As I wrote in last month's Mutual Fund Matters column, you can outperform those returns simply by investing in a bond fund 100% allocated to fixed income, which on average will yield 5.33%.

In fact, according to a 2020 report, over a 15-year period, nearly 90% of actively managed investment funds failed to beat the market. That's because, since its inception in 1957 through the end of 2021, the S&P 500 has a historic annualized average return of 11.88%. Over that past 10 years? The average return of the index is a robust 13.2%.

Beating the S&P 500 shouldn't be the goal, however. Generating returns higher than it produces is a tall order. With the Consumer Price Index (CPI) at a nearly four-decade high and uncertainty surrounding whether it will subside in 2023, investors would be remiss to not aim for beating, or at the very least hedging against,

inflation and the market turmoil that results from the Federal Reserve's subsequent interest rate hikes.

The Fed's Inflation Fight

After bottoming at 0.1% in May 2020, the CPI has risen to approximately 40-year highs, reaching as high as 9.1% year over year in June 2022. It's gotten so bad in some sectors that this summer, cities like New Orleans began issuing moratoriums on shut-off orders for delinquent accounts as energy experienced nearly 33% year-over-year inflation.

As a result, the Federal Reserve's response has been, given historical context, extremely hawkish. After seeing two dramatic decreases to the effective federal funds rate (EFFR) in March 2020 — a bifold effort to soften the blow of the short-lived, COVID-19 induced recession, the central bank's been hiking the EFFR at a historic pace.

Between March 2022 and July 2022, after rates were hovering around 0% since the onset of the pandemic, the Fed began taking drastic action to combat inflation. At the March 2022 Federal Open Market Committee meeting, Chairman Jerome Powell announced the central bank would be hiking rates by 25 basis points from 0.25% to 0.5%.

Then in May 2022, the benchmark rate was increased by 50 basis points from 0.5% to 1%. The following two months saw consecutive 75 basis-point hikes, bringing the EFFR to 2.5% by the end of July.

The CPI showed signs of slowing in July, when the year-over-year reading came in at 8.5% after June's 9.1% reading, and many analysts believed that inflation — potentially peaking — would instigate a policy pivot from the Fed, which could slow or even reverse the pace of recent rate hikes. BAt its annual Jackson Hole Economic Symposium in late August, however, Powell reiterated the banks hawkish stance on qualitative tightening and ongoing rate hikes until inflation was under control.

In his late August remarks, the Fed chairman stated: "While higher interest rates, slower growth, and softer labor market conditions will bring down inflation, they will also bring some pain to households and businesses. These are the unfortunate costs of reducing inflation. But a failure to restore price stability would mean far greater pain."

That Friday, in response to his remarks, the Dow Jones Industrial Average shed around 1,000 points, and the S&P 500, which had recovered more than 74% of its year-to-date losses, lost sight of the 200-day moving average and dropped over 5% in the following three trading sessions, indicating the bear market would be around until monetary policy shifted.

Getting Ahead of Rate Hikes

It's important to recognize that the strategies and approaches discussed herein are not married to the 2022 bear market or the current and nearly 40-year high in inflation. When the Federal Reserve begins a series of rate hikes in order to slow or reverse inflation, there's no shortage of opportunity in the market. That opportunity, however, requires investors to know where to look.

Of course, outsized gains can and do always occur. But without a crystal ball or an elevated risk tolerance that investors shouldn't have in inflationary environments coupled with interest rate hikes, allocating funds to precarious investments should be avoided.

If an investment — be it a disruptive technology stock, cryptocurrency or a speculative exchange-traded fund (ETF) — can go parabolic in one direction, it can just as easily go parabolic in the other. Inherently volatile assets can hurt your portfolio just as quickly as they can help it.

Take, for example, the First Trust Nasdaq AI and Robotics ETF (ticker: ROBT), which maintains a basket of stocks heavily leveraged to the tech sector. In the wake of the pandemic's shelter-in-place orders that left millions of workers unable to physically be in the workplace, the ETF skyrocketed between March 2020 and February 2021 by an astounding 152%. But from September 2021 to September 2022, it gave back over 35% of those gains.

Tech conglomerate Block (SQ) has a similar recent history. The company accounts for 8.24% of Cathie Wood's ARK Innovation ETF (ARKK) but doesn't pay a dividend. After climbing from around $38 in March 2020 when the pandemic struck to its all-time high of over $276 in February 2021, shares slid by more than 76% through mid-September.

The tale is similar for those who hopped on the crypto bandwagon near its top in late 2021. Though the asset class is still in its early-adoption stage, its precipitous drop this year has left a bad taste in investors' mouths. After the sector's flagship Bitcoin (BTC) reached its all-time high of $65,000 in November 2021, it plunged nearly 70% through summer to levels not seen in two years.

None of this is to say investors should avoid inherently volatile investments. But when it comes to finding solid returns while the Federal Reserve is focusing on qualitative tightening in order to dramatically cut its balance sheet, while simultaneously increasing the EFFR to combat an escalated Consumer Price Index, slow and steady wins the race.

Investors should allocate accordingly to ensure their portfolios are prepared and capable of weathering market downturns and the impacts of interest rate-hiking cycles and runaway inflation.

Bet on the Tortoise, Not the Hare

Aggressive investors — as opposed to those who are patient and have long-term wealth-building goals — are more willing to jump ship at the first sign of trouble. And this year, there have been innumerable signs of trouble.

When those red flags reveal themselves — escalating inflation, increasing interest rates, wage stagnation, contracting GDP (gross domestic product) and a potentially looming recession, to name a handful —

investors instinctively take shelter in more traditional safe-haven assets, such as bonds, precious metals and commodities.

With this strategy, so-called cross-asset investors typically weather the markets' storms better than most. However, that's hardly the case in 2022. According to Bloomberg, those looking to hedge losses by diversifying their risk through allocations in various asset classes experienced the worst monthly sell-off in August since 1981.

That includes investors who turned to stable assets that historically perform well in these environments, like gold and silver. The bellwethers of precious metals, both reached two-year lows by the end of summer. For gold, that was on the back of testing its all-time high, which it hit in March 2020 amid the fleeting pandemic-era recession.

The same goes for bonds, which are time-honored shelters during inflationary and rate-hiking periods. The yield for a one-year Treasury note is 3.54%, which isn't terrible when considering its minimal risk compared to other asset classes. But when factoring for 8.5% inflation, those bonds are producing real yields (i.e., inflation-adjusted) that are soundly in negative territory at (5)%. That means safety-oriented investors who turn to Treasury bonds are locking their funds up for a negative return.

With safe-haven assets not delivering their prototypical safety, my thoughts jump back to equities, and specifically, the words of legendary investor Peter Lynch, whose famous Magellan Fund averaged a 29.2% annual return between 1977–1990: "Far more money has been lost by investors trying to anticipate corrections, than lost in the corrections themselves."

Time in the market is greater than timing the market. This requires an understanding of where investors should put their hard-earned money in order to better insulate their portfolios against market shocks that result from the likes of the Federal Reserve enacting multiple, 75-basis-point increases to the EFFR.

> "With traditional safe-havens like bonds and precious metals also underperforming…better options are certainly available."

Muting the Market's Mayhem

When considering which investments are capable of weathering the market fallout from interest rate hikes, two more Lynch quips come to mind. First, "The real key to making money in stocks is not to get scared out of them." Anyone who has watched the financial media in the past year has been inundated with headlines and scare tactics borne of the first true bear market in 14 years.

Bad news sells; don't buy it. Investors prone to vacating, impractically, perfectly durable stocks sell low and assume they were able to avoid further losses. Meanwhile, institutional investors move in to buy those shares at a welcome discount and a long-term vision.

Second, Lynch once mused that "Although it's easy to forget sometimes, a share is not a lottery ticket …it's part-ownership of a business."

Buying stock that's worth owning, and not viewing it as a get-rich-quick scheme, is the first step in finding shares of companies worth holding. This can be achieved with a little homework. Do those companies offer dividends? Are the yields superficial? Have you read their balance sheets and cash-flow statements? Answer no to any of those questions and that investment may be unfit for the current — or any subsequent — rate-hike cycle.

Look to companies in slow-and-steady sectors, including those that outperform in late-cycle environments and are less subject to market swings. There are 11 sectors that compose the S&P 500.

Of those, when consumers are looking to tighten their budgets, will they cut expenditures for life-altering medications (health care sector) and food to put on the table (consumer staples sector)? Or will they instead turn to budget lines for subscription-based streaming services (consumer discretionary sector) and small investments made with leftover cash at the month's end (financials sector)?

Get Paid to Hold

Start with dividend payers, and to ice the cake, dividend raisers. Dividend-paying stocks play such an integral market role, they account for 40% of historical returns — returns that are even better while rates are rising and inflation is high. During inflationary periods in the 1940s (when the CPI peaked at 14.4%) and 1980 (when it peaked at 13.5%), dividend-paying stocks made up over two-thirds of all market returns.

The argument's strengthened by dividend-raisers, whose trailing returns far outpace their non-dividend-paying counterparts. The famed members of the Dividend Aristocrats and Dividend Kings — companies that have increased their yields for 25 and 50 consecutive years, respectively — can produce annualized returns that, when combined with regular dividend distributions, are capable of outpacing the broader indices.

For a moment this summer, it looked like the S&P could reverse course as it rebounded 74% from YTD losses. But what some hoped was an emerging bull market turned out to be a bear market bounce. By the end of August, the S&P lost nearly 4%. For comparison, the more than 40 companies that make up the list of Dividend Kings lost just a third of that while paying an average dividend that yields 2.48%. There are outliers, of course. Shares of some companies that make the list far exceed the

average yield, like Altria's (MO) dividend that pays 8.44%. Others lag, like Tootsie Roll Industries (TR), which pays just 1.03%.

Beyond the Aristocrats and Kings, investors can turn to companies that still manage to pay substantial yields without having increased their dividends consecutively for years.

Business development companies (BDCs) and real estate investment trusts (REITs) are required by law to distribute 90% of their taxable income to investors.

As a result, for income-oriented investors, companies registered as BDCs and REITs make for perfect fits when looking to produce steady income capable of offsetting market losses resulting from higher interest rates. (*See Page 34.*)

A BDC like SLR Investment (SLRC), for instance, yields an astounding 11.12% annually while shares have held steadily between $13.94 and $19.26 over the past year.

While investors are paid to hold shares in companies like these, they have the opportunity to reinvest those dividend payouts, which bolsters the principle upon which compounding growth is established. Look no further than any of the internet's dozens of free dividend reinvestment calculators to determine the types of prospective returns this can produce.

High-Yield ETFs

Similarly to how dividend-paying companies provide long-term insulation against Federal Reserve-induced market selloffs, ETFs that focus on sectors and companies historically paying dividends can help investors combat inflation and the central bank's efforts to quell it. They also provide the same compounding interest benefits as high dividend-paying stocks for those who reinvest.

Dividend Aristocrats and Kings offer reduced risk compared to other stocks, and for investors turning to high-yield ETFs that risk is further minimized. One of the best aspects of owning ETFs is the broadened exposure they offer in conjunction with reduced risk that results from diverse allocations.

Funds like the Liberty All-Star Equity Fund (USA) fit the bill, with holdings including large-cap stalwarts like Amazon (AMZN), Alphabet (GOOGL), Microsoft (MSFT), Visa (V), UnitedHealth Group (UNH) and Sony Group (SONY) among its top 10 allocations. Shares of USA have remained in a range of $5.89–$8.45 this year, while its dividend yields a considerable 10.36%.

It's Not You Versus the S&P

Beating the S&P 500 is a difficult scenario. But that doesn't mean investors should put all of their money into the SPDR S&P 500 ETF Trust (SPY) and be content with its meager 1.53% dividend yield in hopes of avoiding the worst of this bear market.

With traditional safe-havens like bonds and precious metals also underperforming, and while accounting for the impact of decades-high inflation and the Fed's ongoing fight to reduce it, better options are certainly available.

Investors with reduced risk tolerance and the foresight to include companies in their portfolios with accommodating yields and stable prices can, over time, mute the uncertainty that the Federal Reserve's interest rate hikes cause in the vast majority of retail investors. B

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FINANCIAL PLANNER

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This strategy enables a taxpayer who earns too much to contribute to a Roth to make an after-tax contribution to a traditional IRA and then convert that account to a Roth IRA shortly thereafter. This loophole has been debated for years, but hasn't been closed yet.

Consulting Your Tax Adviser

This time of year is an excellent time for you to check in with your accountant about your situation (the earlier the better!) Your accountant can advise you as to whether you should be making estimated federal or state tax payments by year-end or in January based on the information you provide. By taking some action now, you should be able to reduce your tax bill somewhat. In addition, it will be easier for you to put together your tax information in January. Good luck! B

Alexandra Armstrong is a CERTIFIED FINANCIAL PLANNER™ professional and Chartered Retirement Planning Counselor℠ and founder and Chairman Emeritus of Armstrong, Fleming & Moore, Inc.

Christopher Rivers, a CERTIFIED FINANCIAL PLANNER™ professional and Chartered Retirement Planning Counselor℠ and co-author of this article, is a principal of Armstrong, Fleming & Moore, Inc., located at 1800 M St. NW, Suite 1010-S, Washington, D.C. 20036-5813, 202/887-8135.

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BetterInvesting's Corporate Partners

Corporate Partners of BetterInvesting consist of publicly traded companies. Some are just getting started with BetterInvesting, while others have supported the association and its mission for many years.

The companies have one thing in common, however, and that is the desire to attract the interest of long-term retail investors.

Corporate Partners support the organization by paying membership dues, participating in events and providing investors with the information needed to make well-informed investment decisions.

As a service to both the corporations and our readers, the editors are pleased to present the listing and information that follows, including company name, website address, stock exchange, ticker symbol and the date the company joined BetterInvesting.

Companies are presented in three groups, separated according to annual revenues.

The first, large companies, includes companies whose total annual sales were $10 billion or more.

Medium companies include those with annual sales between $1 billion and $10 billion and small companies include those with revenues of less than $1 billion.

A company's market capitalization often differs significantly from its revenues; as a result, the company's sales figures might place it in one category while its market capitalization would place it in another grouping.

LARGE COMPANIES (more than $10 billion in revenues)				
Company	Join Date	Web Address	Exchange	Ticker
Aflac	5/1/21	investors.aflac.com	NYSE	AFL
Deutsche Bank AG	5/22/01	www.adr.db.com	NYSE	DB
Duke Energy Corporation	3/15/93	www.dukeenergy.com	NYSE	DUK
Kellogg's	12/7/21	www.kelloggcompany.com	NYSE	K
Verizon	1/17/95	www.verizon.com/investor	NYSE	VZ
MEDIUM COMPANIES ($1 billion to $10 billion in revenues)				
AllianceBernstein	7/1/20	www.alliancebernstein.com	NYSE	AB
MGE Energy, Inc.	5/24/01	www.mge.com	NASDAQ	MGEE
RPM International, Inc.	5/1/88	www.rpminc.com	NYSE	RPM
SMALL COMPANIES (less than $1 billion in revenues)				
Middlesex Water Company	9/1/12	www.middlesexwater.com	NASDAQ-GS	MSEX
National Retail Properties	5/16/02	www.nnnreit.com	NYSE	NNN
Safehold, Inc.	1/23/18	www.safeholdinc.com	NYSE	SAFE
Unitil Corporation	6/24/94	www.unitil.com	NYSE	UTL
York Water Company, The	2/1/01	www.yorkwater.com	NASDAQ	YORW

Get the Facts

For information on BetterInvesting's Corporate Partners including links to their websites, visit us at **www.betterinvesting.org**.

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Michigan Club's Advice to Investors? 'Be Patient!'

Engineering a 50-Year History

As told to Angele McQuade by Marc Snyder and the members of the Investment Club of Midland (ICoM) of Midland, Michigan

How we started: A dam failure and flood in 2020 destroyed the paper archives stored in a member's home, so we no longer have all of the club's historical details. What we do know is that the Investment Club of Midland (ICoM) started more than 50 years ago, around 1972.

While we're not sure how many members there were at the beginning, today we have 10, including a doctor, a lawyer, a geologist, a couple of accountants and an assortment of engineers. We range in age from the late 60s to early 90s. While none of us are founding members, two have been in the club more than 24 years.

A little about our portfolio: As of September 2022, our portfolio of 19 stocks and cash totals $355,000 (down from a peak of $429,000 in December 2021). We're currently keeping our position in our "key" stocks, selling some depressed stocks, and buying some defensive/emerging stocks. We look for stocks in what we believe are segments that benefit from socio-economic condition changes. We have sectors we avoid (gambling, legal drugs, China), but do not have a hard-and-fast investment policy.

Our all-time favorite investment: Apple (ticker: AAPL), our longest-held stock. We first purchased it in December 2009 at $6.97 a share. We've toyed many times with reducing our exposure but continue to hold, being nicely rewarded with a 27.4% annualized return and a 12.6% dividend yield (40.0% total return).

Investments we wish we could get a do-over on: We bought 50 shares of Zoom Video Communications (ZM) in July 2019 at $96 a share based on the good experience of a member's spouse using it for church meetings. In October 2019, we bought 50 more shares at $77. In November 2019, we sold all shares at $67 based on competitive entry by Google (and others) into the video conferencing space. When COVID-19 hit in 2020, ZM's stock soared, trading at over $500 a year after we sold (it's since dropped to $74). Our takeaway is that we may have been right in selling but were just too soon. Be patient!

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The Investment Club of Midland, Michigan. Members Sam Choo; Bruce Peck; Mike Cronenberger, treasurer; and Bill Krueger.

The Investment Club of Midland, Michigan. Members Rob Johnson, president and Karl Kamena.

The Investment Club of Midland, Michigan. Members Will Schmidt, controller; Lee Smith; and Marc Snyder, secretary. Not pictured in the photos is Bob Dostal, the club's parliamentarian.

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INVEST-HERS. Front row, left to right: Nancy Danico, Vickie Patramanis, Loma Wegerer, Connie Richardson and Wava Madden. Back row, left to right: Shirley Wilkins Joanne Hermiston, Judy Deutsch, Marvel Green and Lois Boyer.

Not pictured: Cynthia Corkery.

The club is based in the Quad Cities region in Iowa and Illinois.

Club Began 35 Years as a Spin-Off of Men's Club, Quickly Gained Its Own Outlook

Representing BI in the Bi-State Region

by the members of INVEST-HERS

The first official meeting of InvestHers was on Feb. 4, 1987. At first, the club was known as Specinco-ettes, a derivative of their husbands' investment club name. The name was changed to INVEST-HERS on Feb. 4, 1988. Articles of agreement were adopted on Dec. 15, 1988. The first official purchase by the club was 75 shares of Costco.

We are located in the Quad Cities, a bi-state region (Iowa and Illinois) on the beautiful Mississippi River and the club is a member of the Heart of Illinois Chapter of BetterInvesting. Members come from a wide variety of backgrounds including attorneys, teachers, small-business owners and employees of major corporations. Two original members are still active!

To maintain a membership base when the buy-in value continued to increase, members voted to revise the bylaws to offer different levels of participation relative to shares.

This has allowed new members to join and participate at a comfortable level, bringing fresh perspectives and knowledge to our group.

Over the years, there have been many changes in membership, the club portfolio and values, and the social activities including Christmas and summer parties. We enjoy socializing at our monthly dinner meetings. But the core reason to meet as a club is to educate ourselves about investing and learn how to use available tools, such as the Stock Selection Guide.

From experience, we have learned that this is a valuable asset. Ultimately, decisions are made by the members based on personal study and reporting. At least once a year, an expert guest speaker is invited to share new perspectives and educate.

As a roll call response at the monthly meeting, members report their assigned stock's closing price of the day, the current price-earnings ratio. Later in the meeting, members report current and changing news of their stock. Once a year, a "Stock Exchange" gives members a fresh interest.

During the pandemic, meetings were held via Zoom. It was decided that meeting online could be done quite well. It's an application that continues to work for members who travel or in the case of inclement weather.

After 35 years and many changes, 11 active members enjoy friendships, discussing current events and the ups and downs of the stock market while continually learning.

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Prudent Investment Club. From left to right are Jamie Egolf, Mary Harris, Sandy Reher, April Johnson, Lois Chickering and Marcia Newell.

Wyoming Club Was Founded in 1989

Prudent Investment Club: Eyes on the Long Term

by the Prudent Investment Club

Prudent Investment Club (PIC), of Laramie, Wyoming, originally started with a group of women in 1989 who wanted to understand how to invest in the stock market.

They joined BetterInvesting in 1992 and started to follow the rules of investing. There has been many changes as we do our own buying and selling.

There are six members with one original member who is our president, Jamie Egolf. Sandra Reher is our treasurer and has been a member since 1993. The secretary is Lois Chickering. Other members are Mary Harris, April Johnson and Marcia Newell.

Each member follows two to three companies and prepares her own stock studies with the exception of the treasurer who follows one.

Members report on their stocks after each quarter and recommends a buy, hold or sell. If a sell or buy comes up then each member votes according to their opinion.

We use Value Line plus a list of items that we think are important for following a stock. If we hear about a new stock then the member must do research on it for the next month's meeting.

We tend to keep our shares long term unless we have a member cash out.

BI FAMILY

Continued from Page 44

How we plan to use our investment gains: I don't think any of the members look to their share of the club's investments as a primary financial asset. Most of us look at the club as a social and educational activity with people of similar backgrounds and interests, but with quite different approaches to investing.

Advice we'd give to newer clubs, especially those going through their first down market: Try to anticipate downturns and position your portfolio to generate the cash that may be needed during the recovery. Be patient with your core stocks; there was a reason you bought them.

> "Try to anticipate downturns and position your portfolio to generate the cash that will be needed during the recovery."

What keeps us connected beyond investing: Our longevity has a lot to do with a great deal of familiarity among members through shared work experiences (Dow Chemical Company), shared outside interests (cars, gardening, church and service organizations), living in the same small town, and our willingness to learn from others.

Angele McQuade is the author of three books, including "Investment Clubs for Dummies" and BetterInvesting's upcoming new youth investing handbook. She lives near Bethesda, Maryland, where she also writes picture books and novels for children.

If you'd like to be featured in a future profile, please contact Angele through her website:

www.angelemcquade.com

Club Says It's Not a 'Get Rich Quick' Scheme, but a Learning Experience

Pocatello, Idaho, Women Love to PIC Stocks

by the Professional Investment Club

The Professional Investment Club, also called PIC, was started in January 1996 by a group of motivated women in Pocatello, Idaho. The club began by incorporating the BetterInvesting principles. The original membership was 19 professional women who desired to learn more about the principles of investing for success in their financial future.

Initially in 1996, several women started casually talking about investing. They then started talking to friends and family about forming an all-women investment club. It didn't take much to get 19 women interested. Adopting the guidelines of BetterInvesting, the first club meeting took place at the library. Later the club met at church meeting rooms or members' homes until the club could find a permanent meeting place.

During the pandemic, monthly meetings took place via Zoom. Currently, the club meets at members' homes. We meet in an informal setting with time to network. The goal is to make meetings fun but informative with a planned agenda to keep us on track. Each month we review financial reports, present stock reports, have an education topic and discuss any buy-and-sell actions.

Although the membership has waxed and waned throughout the past 26 years, several original members are active. Today the membership consists of 10 ladies, all of whom participate in meetings. Members come from professions ranging from health care, education and business owners. Several are retired. One member moved out of town and still participates via Skype.

The club decided to cap membership at 12. We strive for membership longevity and personal growth in investing. The club has a potential member attend a minimum of two meetings before she commits to joining, as BI recommends. This allows her to see how the members interact and learn about its structure and membership expectations. All members belong to BetterInvesting. The club uses BI guidelines and tools such as the Stock Selection Guide to help make stock purchase decisions. Members pay monthly dues of $60.

Officer positions include a senior partner, junior partner/educator, financial partner, secretary and historian. The senior partner is in charge of setting the agenda and conducting the meetings. All members are assigned at least two stocks to follow and to report on quarterly. Stock assignments rotate yearly.

We emphasize fun while learning. Each year we have a summer barbecue. During our December meeting, we have a gift exchange. At the beginning of each year, we meet at a restaurant for an evening of fun. During this time, we review past goals and set goals for the coming year. We ask each member to submit her predictions for the following year: These can be silly or serious. We place them in a sealed envelope and open them during the first meeting of the following year. We have had a few come true, but mostly these are fun to read.

The Professional Investment Club. Top row: Barbara Peterson; Laurie Peters, founding member; Susan MaComb, treasurer. Second row: Iris Mayer, founding member; Diane Nelson; and Edee Bregitzer, historian. Third row: Pamela Holmes, founding member; Rebecca Hardy, senior partner; and Debbie Snell, junior partner/educator. Bottom row: Saralee Anderson, secretary.

Our portfolio has become more robust over the years. PIC's first stocks included Ballard Medical, Clayton Homes, DSC Communication and PepsiCo. Today we have 16 stocks in our portfolio. We have started to see the benefits of consistent investing through smart decisions and balancing our portfolio. Our favorite stocks include Apple, Costco, Disney, FactSet, Mastercard, Nvidia, PayPal and Moderna. During the past five years, we have more than tripled the value of our portfolio to a current valuation of $234,000. We all find investing to be fun. We can see growth in our knowledge and understanding of investing. Ours is not a "get rich quick" strategy, but it helps us learn about investing to make better decisions in our personal lives. It's a win-win situation.

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the contributors in their portfolios.

Using This Section

In this section readers seeking to network with other long-term investors will find resources for information about programs in their communities. Meetings provide investment education for interested individuals of all ages and experience levels.

We've listed each BetterInvesting chapter along with the chapter's website, contact information and whether the chapter offers:

Upcoming Investors Fairs, Educational Fairs, annual meetings and other major events are listed at the end of this section.

For current details on any meeting, go to the relevant chapter's website.

We urge investors to contact the chapter for full details about any event and to learn of any changes in time or location.

The regional programs described in this section are the heart of BetterInvesting's educational effort. Some request a modest fee to defray costs, while others are free.

BetterInvesting's objective is to help people learn about long-term investing in an atmosphere in which they are free from pressure to buy anything.

CHAPTER CONTACTS

Contact your local chapter for details such as changes in time or location. You may also go to the BetterInvesting website at **www.betterinvesting.org** and visit **My Chapter**.

ALABAMA

Alabama/Emerald Coast — Northeast Alabama
Barb Gierloff
256/582-7718
barb.gierloff@yahoo.com
www.betterinvesting.org/alabama

So. Alabama/Emerald Coast
Dr. Frank Sansone
850/474-3581
drfrank1611@gmail.com
www.betterinvesting.org/alabama

NW Alabama
John Ingwersen
256/757-5325
jlingwersen@gmail.com
www.betterinvesting.org/alabama

Central Alabama
Martha Rudd
205/913-2660
www.betterinvesting.org/alabama

ALASKA

Alaska
Tim Janneck
907/346-2792
www.betterinvesting.org/alaska

ARIZONA

Arizona
Madeline Carragher
602/358-8009
contact@arizona.betterinvesting.net
www.betterinvesting.org/arizona

CALIFORNIA

Channel Islands
Chapter contact:
contact@channelislands.betterinvesting.net
www.betterinvesting.org/channel

Golden West (includes Nevada)
Anita Widmayer
657/223-1853
contact@goldenwest.betterinvesting.net
www.betterinvesting.org/goldenwest

Sacramento Area
Dan O'Donahue
916/967-9631
djosacbi@gmail.com
Model Investment Club
Carol Costa
916/771-7222
www.betterinvesting.org/sac

Sacramento Area
Dan O'Donahue
916/967-9631
djosacbi@gmail.com
Model Investment Club
Carol Costa
916/771-7222
www.betterinvesting.org/sac

San Francisco Bay Area
Vivian Thomas
viviannee@yahoo.com
www.betterinvesting.org/sanfran

Silicon Valley
Lee Milde
408/268-4070
contact@silicon.betterinvesting.net
www.betterinvesting.org/silicon

COLORADO

Rocky Mountain, includes Northern New Mexico, Utah and Wyoming
Jane Nelson, 303/579-1016
j.nelson@rmchapter.org
www.betterinvesting.org/rockymountain

DISTRICT OF COLUMBIA

D.C. Regional
Kathleen Emmons
kathy@emmonsgroup.com
703/915-2299
www.betterinvesting.org/dcregional

FLORIDA

So. Alabama/Emerald Coast
Dr. Frank Sansone
850/474-3581
drfrank1611@gmail.com
www.betterinvesting.org/alabama

South Florida – Broward/ Charlotte/ Collier/Lee/ Martin/Miami-Dade/Monroe/ Palm Beach/St. Lucie
Danica Myrie
secretary@southflorida.betterinvesting.net
Ionnie McNeill, president
561/352-4967
www.betterinvesting.org/southflorida

North Florida
Robin Ware, Chapter President
301/346-7982
President@spacecoast.betterinvesting.net
Phil Crocker
908/472-0374
www.betterinvesting.org/space

Sunshine
Dave Yearwood
904/708-2529, call or text
yearwood@aug.com
Barbara Drake, Model Club liason
904/504-4953
bjdrake45@hotmail.com
www.betterinvesting.org/sunshine

GEORGIA

Georgia
Cynthia McCrary
contact@georgia.betterinvesting.net
770/716.1911
ACME Model Club
Zuwena Johnson
zjohnson1050@gmail.com
Central Georgia Model
Jim Vandersall
478/714-8167
jvandersall@gmail.com
Facebook CGMIC
www.betterinvesting.org/georgia

ILLINOIS

(also see Indiana)
Chicagoland
Information Voice Mail
208/606-0630
www.betterinvesting.org/chicagoland

Heart of Illinois
Bobbie Kincaid
309/267-0471
Betty Sinnock, a Beardstown Lady
309/543-4950
contact@heartofillinois.betterinvesting.net
Model Club: Prairie Investment Partnership (PIP)
www.betterinvesting.org/hoic

INDIANA

Central Indiana
Diane Byron, 317/696-0227
dkrbyron@gmail.com
Charles Barker, 317/844-7022
ckbarker@prodigy.net
www.betterinvesting.org/indiana

OKI Tri-State
Southeastern Indiana
Marty Eckerle
bmeckerle@comcast.net
812/537-0291
www.betterinvesting.org/okitri

IOWA

Heartland
Nancy Allen
nallen@heartland.betterinvesting.net
Charlotte Hurley
515/276-9019
www.betterinvesting.org/heartland

KANSAS/MISSOURI

Kansas City Area
Connie Rehm
816/324-4939
www.betterinvesting.org/kansas

KENTUCKY

OKI Tri-State
Northern Kentucky
Linda Miller
sciclim@gmail.com
859/360-3311
www.betterinvesting.org/okitri

Tennessee/Kentucky
Cindy Hansen
tenn797@gmail.com
www.betterinvesting.org/tenken

LOUISIANA/MISSISSIPPI

LA/MS
Greater New Orleans Area
Kaye Clingan, 601/853-4689
president@lams.betterinvesting.net
www.betterinvesting.org/lams

Greater Baton Rouge Area
Eric Resweber, 225/788-2528
secretary@lams.betterinvesting.net
www.betterinvesting.org/lams

Greater Lafayette Area
Dennis Malcolm, 337/298-1896
contact@lams.betterinvesting.net
www.betterinvesting.org/lams

North Mississippi Area
Joe Farrell, 601/331-8896
contact@lams.betterinvesting.net
www.betterinvesting.org/lams

Mississippi Gulf Coast Area
David Arnold, 601/268-3549
contact@lams.betterinvesting.net
www.betterinvesting.org/lams

MARYLAND

(also see D.C. Chapter)
Maryland
contact@maryland.betterinvesting.net
www.betterinvesting.org/md

MICHIGAN

Mid-Michigan
Ken Kavula
810/640-2231
kkavula1@comcast.net
www.betterinvesting.org/midmich

Southeastern Michigan
Jane Bellaver
248/685-8246
www.betterinvesting.org/semich

MINNESOTA

Northern Lights
Pam Eilertson, 608/797-1008
www.betterinvesting.org/northernlights

MISSOURI

(also see Kansas City)
St. Louis
Fred Tonnies, President
573/864-0707
President@StLouis.BetterInvesting.net
www.betterinvesting.org/stlouis

NEBRASKA

Heartland
Nancy Allen
nallen@heartland.betterinvesting.net
Charlotte Hurley
515/276-9019
www.betterinvesting.org/heartland

NEVADA

See Golden West, California

NEW JERSEY

(also see Pennsylvania)
New Jersey
Pam Deisher, pdeish@gmail.com
Carla Krasnick, 856/235-0813
www.betterinvesting.org/newjersey

NEW MEXICO

Northern, see Colorado, Rocky Mountain

NORTH CAROLINA

North Carolina, includes S.W. Virginia
Terry Gilbert
president@northcarolina.betterinvesting.net
contact@northcarolina.betterinvesting.net
www.betterinvesting.org/ncarolina

CONTINUED ON NEXT PAGE

2022 Thomas E. O'Hara Award for Chapter Service: Northeast Ohio Chapter's Kathleen Richards

Kathleen Richards was nominated by the Northeast Ohio Chapter for her delivery of outstanding service to the chapter and the Model Wheeler Dealer Investment Club (MWDIC) for over 25 years.

Kathleen never simply "holds" a position, instead she brings unparalleled passion and energy to the role, always seeking to expand the skills and knowledge of every member committed to learning. Kathleen increased membership in the model club, recruited eight directors for the chapter, has presented more than 12 training opportunities a year consistently for the last five years, has presented at BINC twice, appeared on local TV to discuss investing, and has developed stock study methods that have been adopted by many BI clubs and individual investors who visit the model club meetings.

Kathleen now serves as the director and chairperson for educational outreach for the chapter. She created and presented a "Why Buy Stocks" presentation designed with young investors in mind. The chapter events drew the attention of a Florida chapter and then caught the attention of the Milwaukee-based nonprofit CLIMB Youth Leadership Program.

In the words of an MWDIC partner, Kathleen "never fails to be all inclusive…Kathleen genuinely believes everyone can be an investor…I have yet to witness an occasion where Kathleen has not volunteered assistance to myself and others."

OHIO

Northeast Ohio – Cleveland
Aire Roche
216/291-2207
www.betterinvesting.org/neohio

Northeast Ohio – Akron
Louise Gregory
330/666-8513

Northwest Buckeye
Marilyn Adams
contact@nwbuckeye.
betterinvesting.net
www.betterinvesting.org/nwohio

OKI Tri-State
Cincinnati
Mary Thomas
mcthomasp@fuse.net
www.betterinvesting.org/okitri

Columbus
Dan Kuhl
dbecool@att.net

Dayton
Gene Senter
937/256-7858
emiddle42@aol.com

Northern Kentucky
Linda Miller
sciclm@gmail.com
859/360-3311

Southeastern Indiana
Marty Eckerle
bmeckerle@comcast.net
812/537-0291
www.betterinvesting.org/okitri

OKLAHOMA

Oklahoma
Carol Clemens
405/348-8681
carcleme4@aol.com
Joe Whitaker
405/478-7990
www.betterinvesting.org/oklahoma

OREGON

(also see Washington)
Portland
John Radford
503/490-7296
contact@portland.betterinvesting.net
www.betterinvesting.org/portland

OREGON

(also see Washington)
Portland
John Radford
503/490-7296
contact@portland.betterinvesting.net
www.betterinvesting.org/portland

PENNSYLVANIA

Central Pennsylvania
Bruce Kennedy
president@centpenn.
betterinvesting.net
www.betterinvesting.org/centpenn

Philadelphia Area
Gloria Mankonen
215/796-1214
contact@philly.betterinvesting.net
www.betterinvesting.org/philly

Pittsburgh
Larry Robinson
412/461-7120
lc_robinson@comcast.net
www.betterinvesting.org/pgh

State College Area
John and Donna Diercks
814/234-8775
dmhdiercks@aol.com

SOUTH CAROLINA

South Carolina
Denise Kimberlin
812/204-6274
contact@southcarolina.
betterinvesting.net
www.betterinvesting.org/sc

SOUTH DAKOTA

Heartland (Sioux Empire)
Nancy Allen
nallen@heartland.betterinvesting.net
Charlotte Hurley
515/276-9019
www.betterinvesting.org/heartland

TENNESSEE

Tennessee/Kentucky
Cindy Hansen
tenn797@gmail.com
www.betterinvesting.org/tenken

TEXAS

North Texas
Patricia S. Baillif
214/660-8385
contact@northtexas.
betterinvesting.net
www.betterinvesting.org/northtexas

Houston
Jerry Pillans
281/984-7306
gpillans@comcast.net
www.betterinvesting.org/houston

West Texas – Lubbock
Richard Mills
806/786-3875
richardmills@suddenlink.net
www.betterinvesting.org/westtex

UTAH

See Colorado, Rocky Mountain

VIRGINIA

S.W. Virginia
see North Carolina
www.betterinvesting.org/ncarolina

D.C. Chapter
www.betterinvesting.org/dcregional

WASHINGTON

Inland Empire
Paula Riccelli
contact@inlandempire.
betterinvesting.net
Megan McKinlay
509/327-1848
president@inlandempire.
betterinvesting.net
www.betterinvesting.org/
inlandempire

Puget Sound
Class Hotline, 206/935-0861
contact@puget.betterinvesting.net
www.betterinvesting.org/puget

WISCONSIN

Wisconsin
Michele Rinka
414/616-1086
michele.rinka@gmail.com
contact@
wisconsin.betterinvesting.net
www.betterinvesting.org/wisconsin

WYOMING

See Colorado, Rocky Mountain

The **BetterInvesting™ Online Chapter** offers support both to individual members and clubs without a local chapter and to the public. The chapter's leadership provides a variety of high-quality programming and support.

The **Online Chapter** Executive Team is: Susanne Koster, Chris McCarron, JoAnne Obata and Jie Eagleson.
Reach them at:
contact@online.betterinvesting.net

Visit the **Online Chapter** at **www.betterinvesting.org/online**

INVESTOR EVENTS

COLORADO
Rocky Mountain
9 a.m. – 12:30 p.m., Jan. 14, online
Intro to Investing: Learn the Basics, Risks, Principles of Growth and More! This workshop introduces basic information needed prior to investing in the stock market. The sessions are: **Why Invest in Stocks,** demonstrates why investing in stocks provides the best potential reward over time as shown by historical data. **Understanding the Jargon**, explains basic financial terms that are critical for the investor to understand in order to choose wisely and manage risk. **Using Value Line (VL),** a guided tour of the Value Line data sheet, presenting each section and describing how to use VL as a basic research source to find fundamental information about a company. These sessions introduce the Stock Selection Guide. Presenters are all volunteers and directors of the Rocky Mountain Chapter of BetterInvesting. Cost: $51. Register through the Colorado Free University, via website below. Contact:
contact@rockymtn.betterinvesting.net.
www.betterinvesting.org/rockymountain

COLORADO
Rocky Mountain
9 a.m. – 2:30 p.m., Jan. 28, online
Evaluate Stocks the Investment Club Way with BetterInvesting. This workshop introduces the beginning investor to the tool used by investment clubs, the Stock Selection Guide. The sessions are: **Selecting the Best Companies**, learn to recognize high-quality growth stocks using the SSG. **Determining a Fair Price,** continue the examination of the SSG to determine the potential return of a stock. **Estimating Future Growth,** guidance on how to make reasonable, conservative projections of future sales and earnings growth rates. **Estimating Future P/Es**, guidelines to help you make reasonable projections for future high and low P/Es and determine if the stock is a buy, sell or hold. **Practice Session**. Cost: $51. All sessions presented by volunteers and directors of the Rocky Mountain Chapter. Register: through the Colorado Free University, via website below. Contact:
contact@rockymtn.betterinvesting.net
www.betterinvesting.org/rockymountain

FLORIDA
South Florida
10 a.m. – 11 a.m., first Saturdays,
continuing Dec. 3, Jan. 7 and Feb. 4, online
Deep Dive 5-Part Series: Discounted Cash Flow Components. This interactive series examines in-depth each of the discounted cash flow components in the Preferred Procedure calculation of the SSG. Participants will learn how to refine revenue projections, expense projections, tax projections, as well as revenue, expense and tax projection in the capital structure, and how to compare the five-year free cash flow projections with the projected earnings. Presenter: Sofia Bitela, chapter volunteer and finance professional. Cost: free and open to all.
Registration and information:
www.betterinvesting.org/chapters/south-florida/local-events.
www.betterinvesting.org/southflorida

South Florida
7:30 p.m. – 8:30 p.m., first Tuesdays,
Jan. 3, Feb. 7 and March 7, online
Deep Dive 3 — Equity Research Reports. This interactive series examines in depth each of the major types of equity research reports: economic, industry and company quarterly reports to inform and assist investors in analyzing stocks and arriving at judgments in the Stock Selection Guide (SSG) and the Stock Comparison Guide (SCG). Participants will learn how to use data and how to refine projections in the SSG. Time will be allowed for participants to share their ticker symbols of stocks for a live demonstration. Cost: free and open to all. Presenter: Sofia Bitela, chapter volunteer and finance professional.
Registration and information:
www.betterinvesting.org/chapters/south-florida/local-events.
www.betterinvesting.org/southflorida

MISSOURI
St. Louis
7 p.m. – 8:30 p.m., Jan. 23, online
Let's Talk Stocks — January. A round table discussion of stock study ideas considered worthy of future study by BetterInvesting standards. The discussion for each company includes the Stock Selection Guide, Value Line and internet resources. Bring your ideas and discuss how they meet BetterInvesting guidelines for a quality growth company. Cost: free. Register at the website below. Contact::
contact@stlouis.betterinvesting.net.
www.betterinvesting.org/stlouis

OHIO
Northeast Ohio
Jan. 7, 10 a.m. – 11 a.m., online
Investment Strategies Before and After Retirement. Should your investment strategy change upon retirement? Learn from Gary Ball's proven model that he has used for 24 years with virtually no changes. It is practical and easy to implement. Gary has been an individual investor for 50 years. He has been affiliated with BetterInvesting since 1984; president of the Puget Sound Chapter for three years; and a national BIVA Board director for 10 years, retiring in 2017. Gary has mentored many of BI teachers. For 35 years, Gary has taught BI seminars in the northwest USA. He has been a speaker at the NAIC and BINC conventions for 26 years. Gary has been featured in "Smart Money," "Consumers Digest" and "Fortune" magazines. In 1998 he retired as manager of investor relations for Fluke Corporation, an electronics company in Everett, Washington, where he held various engineering management positions. He has served on the adjunct faculty at the University of Washington and taught investment classes in the business school.
Cost: $10. Contact: education_programs@neohio.betterinvesting.net.
Register though the website below.
www.betterinvesting.org/neo

TEXAS
West Texas
7:30 p.m. – 8:45 p.m., Nov. 30, online
Stock Investing Made Easy Series: Finding Hidden Gems. Mary Enright, Avi Horwitz and Tim Janneck will focus their presentations on hidden gems that can help improve your portfolio's performance. **The Space Between the Lines.** We are familiar with the SSG. We see lines that show the growth of sales, pretax profit and earnings per share. But what about the lines you don't normally see and what might be hidden in blank spaces? Join Mary Enright as she explores how to improve your SSG judgments by learning to read the things you just don't see. **Help! I Married the Stock.** Many of us struggle with selling stocks. Avi Horwitz will look at why it's so important to sell and the effect of not selling. We will look at a case study showing how not selling can reduce return on your portfolio. **Why did I do that?** Most people simply make investing decisions unaware of the factors that influence those decisions. Sometimes we regret a decision we made and are not quite sure why we made it. Tim Janneck will look at some of the underlying psychological reasons for investing decisions. Cost: free. Registration at website below. Contact: Kaye Short,
contact@westtx.betterinvesting.net.
www.betterinvesting.org/westtex

Reviewing Stock to Study, Undervalued Selections

Tractor Supply Company; Masco Corporation

by Kevin Lamiman, Contributing Editor

STOCK TO STUDY

Tractor Supply Company
Ticker: TSCO

Company description: Tractor Supply is the largest operator of domestic retail stores, chiefly marketing to recreational farmers and ranchers. It operates 2,003 namesake locations in 49 states, and 178 Petsense stores. Outlets are typically located in towns just outside urban areas and in rural communities. In fiscal 2021, revenue consisted primarily of livestock and pet supplies (47%); hardware, tools and truck (21%); and seasonal gift and toy (21%).
Price at time of selection: $62.45
High price during past five years: $241.54
Closing price 5 years later: $194.12
Total return at 5-year price (including dividends): 239.7%
S&P 500 5-year total return: 44.3%
Value Line long-term earnings growth estimate when featured: 10.0%.
Consensus long-term earnings growth estimate when featured: 11.2%
Five-year sales growth rate: 15.2%
Five-year EPS growth rate: 26.0%
Five-year pretax profit on sales: 9.3%
Five-year return on equity: 38.0%
Comment: Management's expansion of the store network despite a weakened retail environment spoke to the chain's growth potential; that was among reasons for its selection. The five-year total return of 241.2% surpassed the Stock to Study goal of doubling over that time span. At the five-year high of $241.54 on March 31, 2022, the stock's total return was 324.6%.

UNDERVALUED

Masco Corporation (June 2021)
Ticker: MAS

Company description: Masco is a global leader in home improvement and building products. The company's $5.1 billion plumbing segment, led by the Delta and Hansgrohe brands, sells faucets, shower heads and other plumbing components. The $3.2 billion decorative architectural segment primarily sells paints and other coatings under the Behr and Kilz brands.
Price at time of selection: $59.90
High price during past 18 months: $71.06
Closing price 18 months later: $48.53
Total return at 18-month price (including dividends): (18.7%)
S&P 500 18-month total return: (8.5%)
Value Line long-term earnings growth estimate when featured: 7.5%.
Consensus long-term earnings growth estimate when featured: 10.3%
Most recent quarter sales growth: 11.7%
Most recent quarter EPS growth: 185.3%
Comment: Housing construction growth and increased spending on repairs and improvements by those homebound during the pandemic contributed to Masco's selection. Low interest rates, the aging of existing housing stock and growing formation of households by millennials were also factors. The total return of (18.7%) fell significantly short of the goal for an Undervalued Company, a 20% increase over 18 to 24 months. At the 18-month high of $71.06 on Jan. 4, 2022, the total return would have been 19.0%, however.

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recomended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writer or contributors in a personal portfolio or those of their clients.

Contacting BetterInvesting

For faster service, please have your BetterInvesting Membership Number (on your *BetterInvesting Magazine* mailing label).

When calling, reach a specific department by dialing the extension below:

DIAL #	DIAL 0	DIAL 1	DIAL 2	DIAL 4	DIAL 5
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Phone: (248) 583-6242 • **Fax:** (248) 583-4880 • **Email:** service@betterinvesting.org • **Website:** www.betterinvesting.org
Mail: BetterInvesting, P.O. Box 220, Royal Oak, MI 48068

Start someone on their journey to becoming a successful lifelong investor

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myICLUB.com $87.99/Year

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